

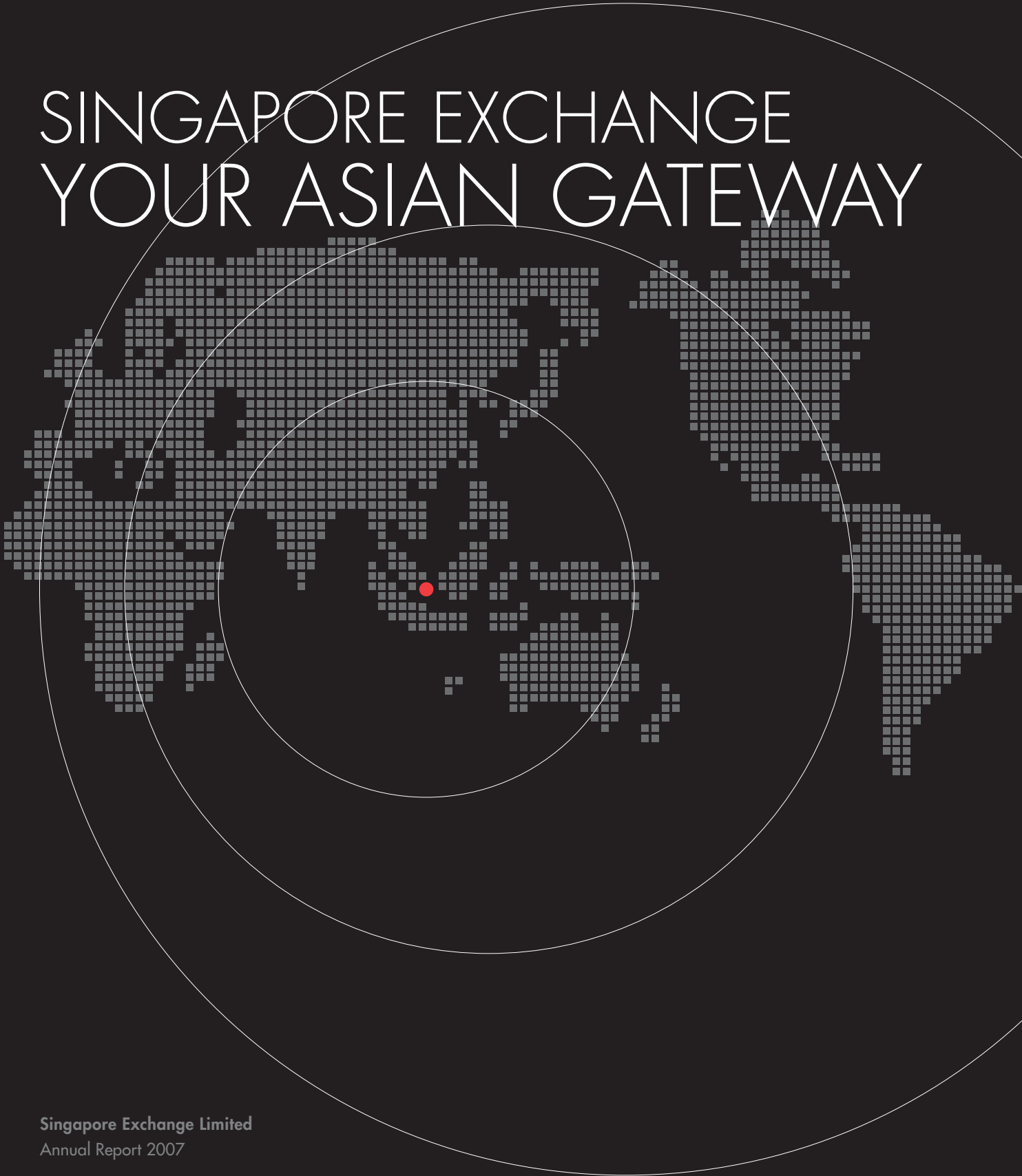
Building an enduring marketplace

SINGAPORE EXCHANGE LIMITED
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SINGAPORE EXCHANGE YOUR ASIAN GATEWAY

Singapore Exchange Limited Annual Report 2007



Singapore – geographically a little red dot. But, with an economic footprint that has grown much larger to become a major destination and gateway for global investments in the region. In the same way, the Singapore Exchange (SGX) is rapidly growing both in size and significance by attracting international and local investors and listings. Singapore Exchange is your Asian Gateway.

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All figures in this Annual Report are in Singapore dollars unless otherwise stated.
FY2007 refers to the financial year ended 30 June 2007. The last day of trading in FY2007 was Friday, 29 June 2007.

OUR MISSION

We aim to offer a highly trusted securities and derivatives marketplace for capital raising, risk transfer, trading, clearing and settlement, and to serve our stakeholders.

OUR ROBUST PERFORMANCE

FY2007 was SGX's best year since listing in 2000 with robust growth in all revenue categories.

Return on equity 37.5% ROE improved to 37.5%* from 32.0%	Profit attributable to equity holders +125% Profit rose 125% to \$422 million	Revenue growth +41.4% Revenue grew 41.4% to \$576 million
Cost-to-income ratio 36.6% Cost-to-income ratio improved 8.5 percentage points	Net dividend per share +122% Net dividend per share increased to 36.00 cents** from 16.20 cents	Basic earnings per share +122% Basic EPS increased to 39.95 cents from 17.96 cents

* excludes write-back of allowance for impairment and gain on disposal of SGX Centre
** subject to shareholders' approval at the AGM

The key highlights above reflect year-on-year performance.

CORPORATE PROFILE

A truly international exchange, SGX offers companies and investors a comprehensive and efficient infrastructure for raising capital and achieving investment objectives.

ABOUT SINGAPORE EXCHANGE

Singapore Exchange Limited (SGX) is Asia’s first demutualised and integrated securities and derivatives exchange. We provide integrated clearing and settlement services, as well as central depository facilities.

SGX offers companies and investors a comprehensive and efficient infrastructure for raising capital and achieving investment objectives within a trusted, transparent and efficient marketplace.

Foreign companies from over 20 countries, some from as far as Europe and North America, are listed on our exchange. With over one-third of the companies listed on SGX from overseas, SGX is a truly international exchange and listing hub representing a full spectrum of industries. Through a growing suite of products, SGX is also rapidly emerging as Asia’s offshore risk management centre.

For an efficient and well-regulated marketplace, SGX has established a robust regulatory framework, founded on a disclosure-based regime.

Our competitive advantages, together with our strategic alliances and partnerships with other exchanges around the world, firmly position SGX as your Asian Gateway.

MILESTONES

1999

Formation of SGX on 1 December 1999, following the merger of the Stock Exchange of Singapore and the Singapore International Monetary Exchange

2000

First exchange in the Asia-Pacific region to be listed via a public offer and a private placement. The SGX stock is a component of the benchmark MSCI Singapore Free Index and the Straits Times Index

2001

Introduction of SMARTS, a real-time market surveillance system

2002

Launch of the first local Exchange Traded Fund, the Straits Times Index Fund, and the first listed business and industry property Real Estate Investment Trusts (REITs)

2003

Development of the SGX Quotation and Execution System for Trading (SGX QUEST), the world’s first integrated trading engine for our securities and derivatives markets

2004

Extended our reach to existing and new derivatives customers around the world following the launch of QUEST DT

2005

Partnership with the Chicago Board of Trade (CBOT) to form the Joint Asian Derivatives Exchange (JADE), an electronic commodity derivatives market

Launch of our FTSE/ASEAN Indices in partnership with the FTSE Group, Bursa Malaysia, Jakarta Stock Exchange, Philippine Stock Exchange and Stock Exchange of Thailand

2006

Launch of SGX AsiaClear®, our over-the-counter clearing facility for oil and freight derivatives

2007

Acquired a 5% stake in Bombay Stock Exchange

PRODUCTS AND SERVICES

SGX offers a diverse and exciting suite of securities and derivatives products via a global network of broking members. They provide market participants with convenient access to these products through an array of distribution channels.

Our securities products, traded on an electronic screen-based system, include:

- Bonds, Debentures and Loan Stocks
- Business Trusts
- Equities
- Exchange Traded Funds (ETFs)
- Global Depository Receipts (GDRs)
- Infrastructure Funds
- Real Estate Investment Trusts (REITs)
- Warrants

Our derivatives products consist of a wide range of international risk management and trading instruments. The products, traded electronically, include:

- Short-Term Interest Rate Futures and Options on Futures
- Long-Term Interest Rate Futures and Options on Futures
- Equity Index Futures and Options on Futures
- Structured Warrants
- Certificates

SGX operates an over-the-counter clearing facility, SGX AsiaClear®, for the clearing of oil and freight derivatives. We are also in a joint venture with CBOT, Joint Asian Derivatives Exchange (JADE), that now trades and clears TSR 20 Rubber and Crude Palm Oil contracts.

We also offer a wide range of data and information services providing both historical and “live” data and prices to our customers, including:

- SGX SecuritiesBook
- SGX DerivativesQuote
- SGX News
- Orders and Trade Data
- Mobile Data Services
- Listed Companies Data
- Historical Market Data
- Publications

HIGHLIGHTS OF THE YEAR

FY2007 saw SGX developing and launching innovative products, forging closer ties with overseas exchanges, and celebrating new milestones and awards.

24 July 2006

Announced the listing of the first China "A" share index futures (FTSE/Xinhua China A50 Index)

29 July 2006

Annual Investor Relations Open Day

8 August 2006

Launched the first online securities investment challenge – StockWhiz

22 August 2006

The SGX gateway became Trading Technologies International Inc's first connection to the Asian markets

28 August 2006

SGX AsiaClear® introduced the clearing of over-the-counter (OTC) Balance-of-Month Fuel Oil swaps

11 September 2006

Launched the new futures trading rulebook and clearing rules to meet new market initiatives

21 September 2006

Listed the world's first ASEAN Exchange Traded Fund (ETF), FTSE/ASEAN 40 ETF

25 September 2006

Joint Asian Derivatives Exchange (JADE) began trading TSR 20 Rubber futures contract

5 October 2006

Listed Asia's first gold-backed ETF, streetTRACKS® Gold Shares

30 October 2006

Renewed the landmark Mutual Offset System Agreement with Chicago Mercantile Exchange

10 November 2006

Raised a record amount of \$2.9 million at The Bull Run® 2006, the third annual charity fun run in the Central Business District

20 November 2006

Announced the listing of US dollar-denominated Nikkei 225 futures contract

22 November 2006

Signed MOU with Korea Exchange

23 November 2006

Celebrated 20th Anniversary of Nikkei 225 futures contract

6 December 2006

Extended trading hours for derivatives market

14 December 2006

Forged closer collaboration with Tokyo Stock Exchange

11 January 2007

Lowered securities transaction costs to improve overall market competitiveness, and enhance market liquidity

18 January 2007

Listed Asia's first commodity index ETF, Lyxor ETF Commodities CRB (Commodity Research Bureau)

24 January 2007

Signed agreement with OMX to develop new data feed system

30 January 2007

Signed MOU with Abu Dhabi Securities Market

31 January 2007

Announced the clearing of OTC Balance-of-Month Gasoil Swaps Contracts by SGX AsiaClear®

27 February 2007

Signed MOU with Ho Chi Minh City Securities Trading Center

7 March 2007

Announced agreement to invest in a 5% stake in Bombay Stock Exchange

12 March 2007

Announced the sale of our interest in SGX Centre

14 March 2007

Senior Adviser, Ang Swee Tian, became the first from an Asian exchange to be inducted into the Futures Industry Association (FIA) Futures Hall of Fame

2 April 2007

Signed MOU with Hanoi Securities Trading Center

10 April 2007

Listed the first Global Depositary Receipt (GDR), Uttam Galva Steels Limited

29 May 2007

Announced the transfer of oversight of corporate governance for listed companies from the Council of Corporate Disclosure and Governance to the Monetary Authority of Singapore and SGX

5 June 2007

Signed Cooperation Agreement with Singapore Press Holdings (SPH) and FTSE Group to develop a comprehensive suite of equity indices for the Singapore market

6 June 2007

SGX AsiaClear® exceeded US\$1.2 billion in value of trades cleared

15 June 2007

Tokyo Stock Exchange acquired a 4.99% stake in SGX

20 June 2007

Received the Exchange of the Year, Asia 2007 Award from Energy Risk magazine, in recognition of contribution by SGX AsiaClear® to the OTC energy derivatives market

GROUP FINANCIAL HIGHLIGHTS

	Financial Year (FY)		
	2007	2006	2005 ¹
For the year (\$million)			
Operating revenue	576	408	275
Operating expenses	211	184	143
EBITDA ²	509	251	150
Operating profit	365	224	132
Other gains/(losses)	128	13	3
Profit attributable to equity holders			
– before write-back of allowance for impairment and gain on disposal ³	311	188	104
– after write-back of allowance for impairment and gain on disposal	422	188	104
Operating cash flow	355	227	101
At year-end (\$million)			
Net current assets	684	358	247
Total assets	1,851	957	1,029
Total liabilities	1,021	370	554
Shareholders' funds ⁴			
– Share capital	399	378	10
– Share premium	–	–	353
– Reserves	431	209	111
Shares issued (million)	1,061	1,050	1,042
For the year (%)			
Revenue growth	41.4	48.4	(13.1)
Operating profit margin	63.4	54.9	47.9
Net profit margin ³	52.5	44.6	37.6
Cost-to-income ratio	36.6	45.1	52.1
Return on equity ³	37.5	32.0	22.0
Per share data			
Operating cash flow (cents)	33.41	21.64	9.67
Basic earnings per ordinary share (cents)			
– before write-back of allowance for impairment and gain on disposal ³	29.48	17.96	10.09
– after write-back of allowance for impairment and gain on disposal	39.95	17.96	10.09
Net tangible assets (cents)	78.23	55.89	45.54
Net dividend (cents):			
(a) Base	8.00	6.00	6.00
(b) Variable	28.00	10.20	2.50
(c) Special	–	–	15.00
Average share price (\$)	5.83	3.12	1.85
Share price at financial year-end (\$)	9.80	3.52	2.11

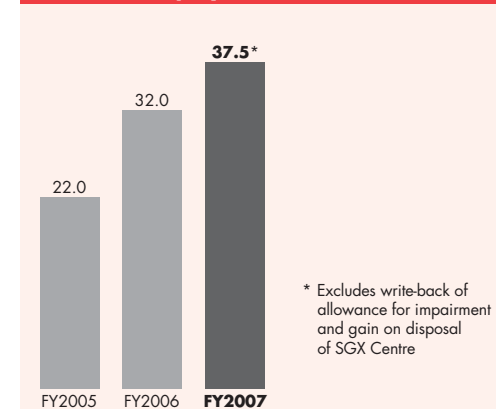
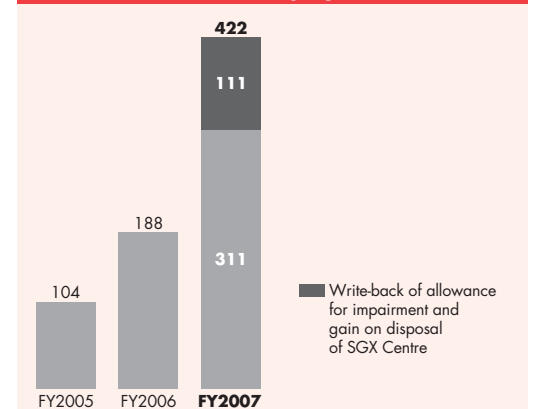
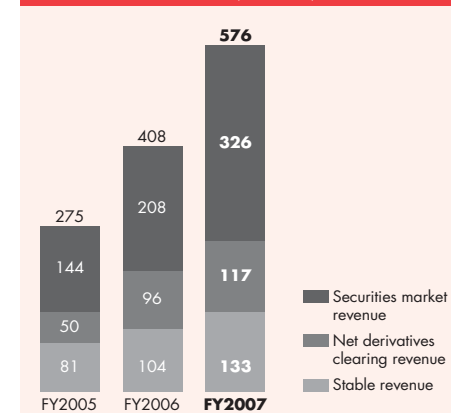
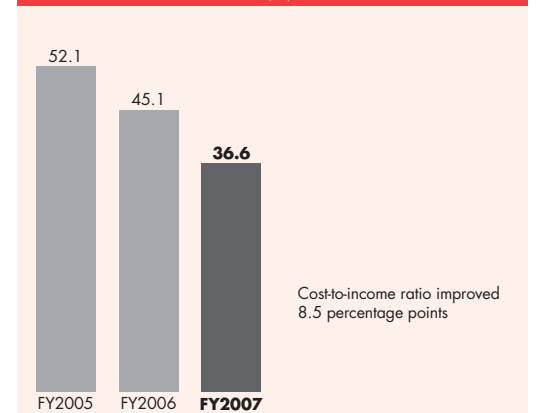
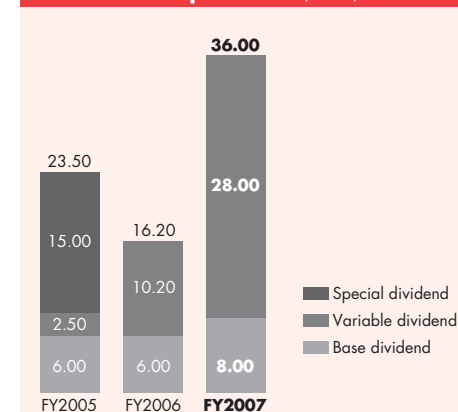
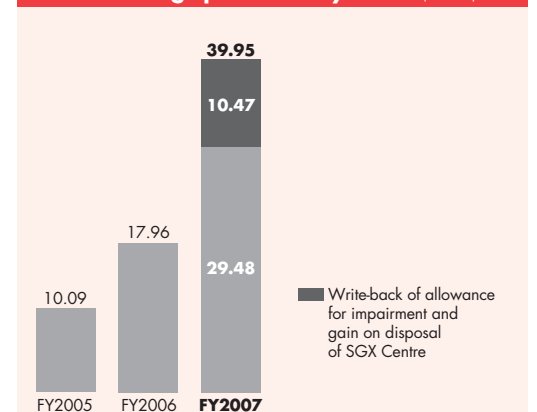
Notes:

¹ FY2005 figures have been re-stated to reflect the Employee Share Option Plan expenses following the adoption of FRS 102.

² Refers to earnings before interest, tax, depreciation and amortisation.

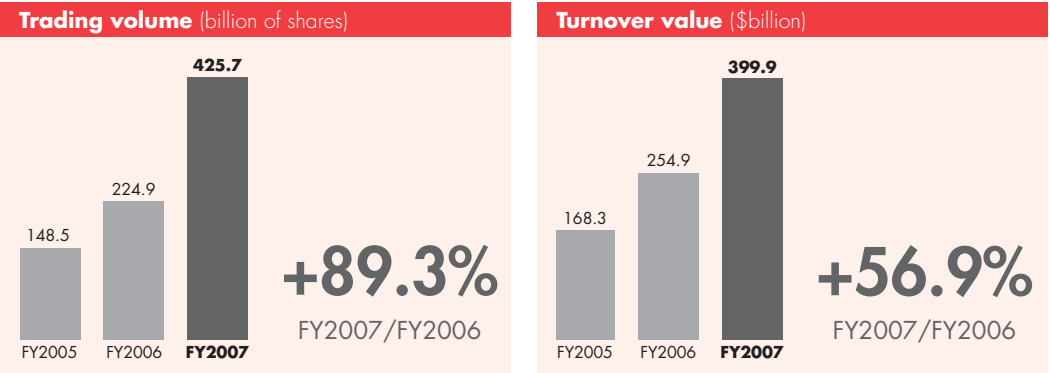
³ Excludes \$45 million write-back of allowance for impairment of SGX Centre and \$65.5 million gain on disposal of SGX Centre in FY2007, which are not subject to tax.

⁴ Under the Companies (Amendment) Act 2005 effective 30 January 2006, the concepts of par value and authorised share capital were abolished and the amount in the share premium account as of 30 January 2006 became part of the Company's share capital.

Return on equity (%)**Profit attributable to equity holders (\$million)****Revenue streams (\$million)****Cost-to-income ratio (%)****Net dividend per share (cents)****Basic earnings per ordinary share (cents)**

PERFORMANCE HIGHLIGHTS

SECURITIES MARKET



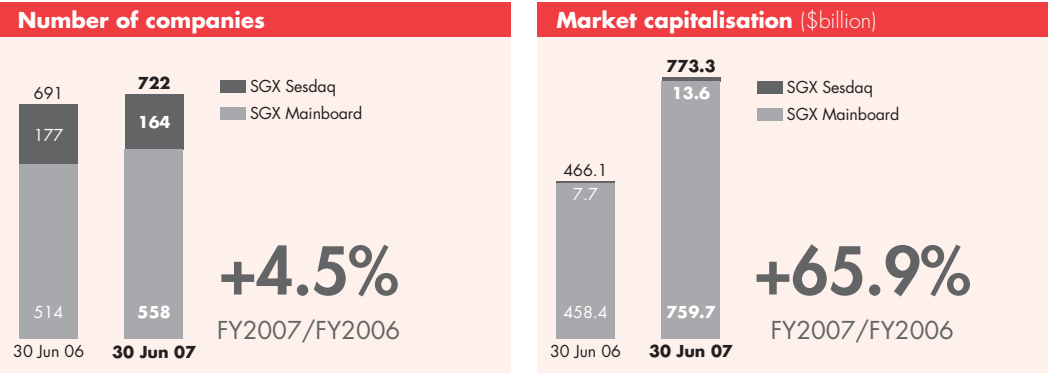
Accounts held with The Central Depository (Pte) Limited
(as at 30 June 2007)

Number of accounts : 1.34 million
Number of shares in accounts : 472.6 billion
Value of shares in accounts : \$715.8 billion

New listings in FY2007

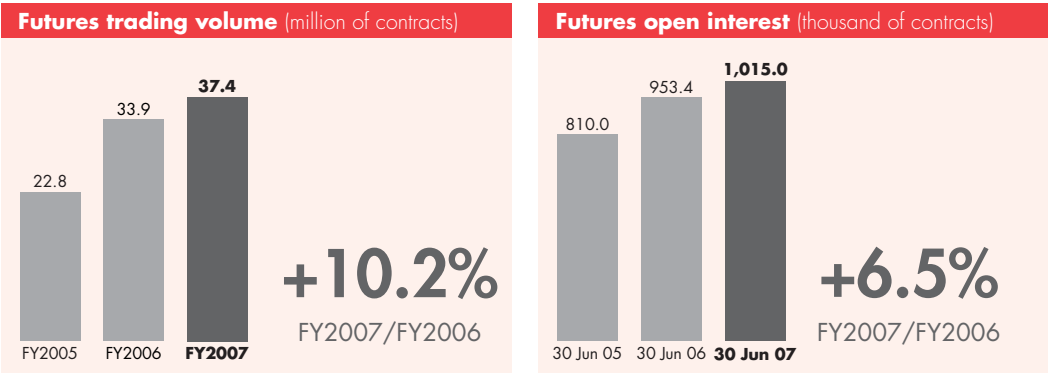
Number : 46
Amount raised : \$6.5 billion

Listed companies and their market capitalisation¹

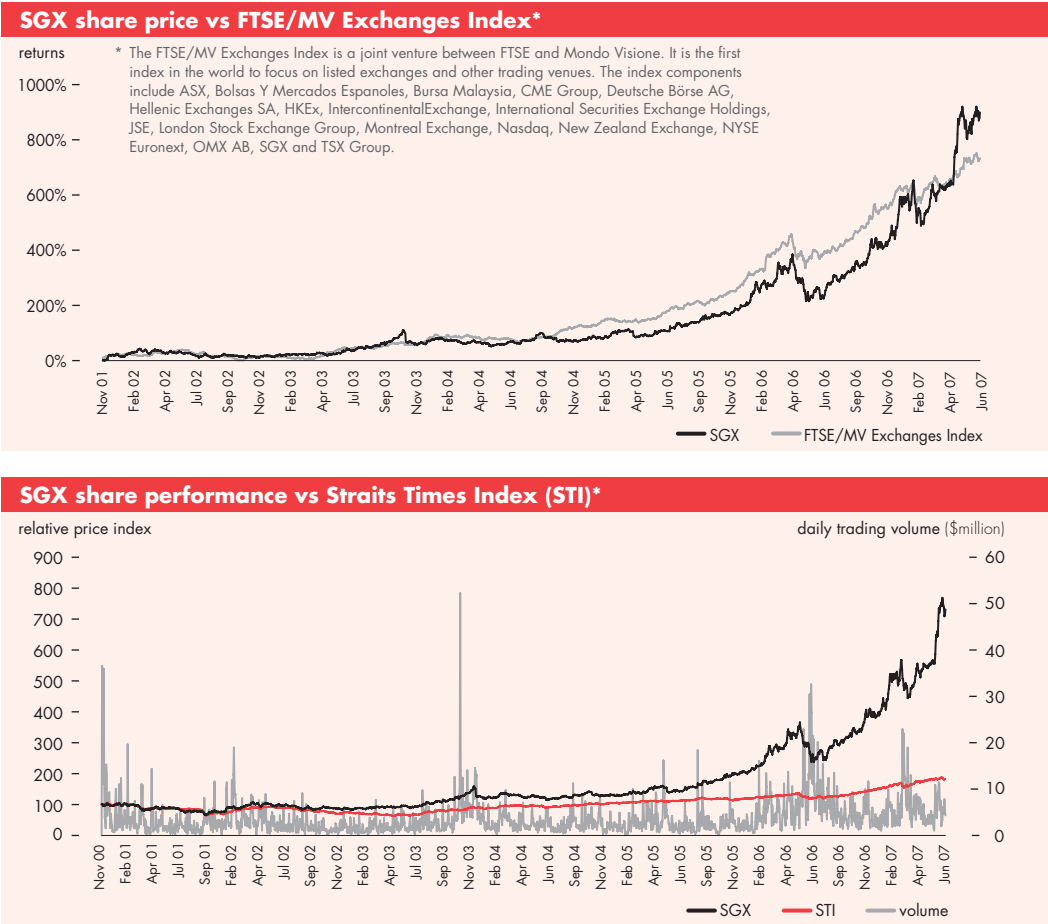


¹ SGX has a substantial number of foreign listings, defined as companies whose principal places of business are outside of Singapore. We have excluded inactive secondary foreign listings to give an accurate reflection of our market size.

DERIVATIVES MARKET



SGX SHARE PERFORMANCE



* review period: 23 November 2000 to 29 June 2007

CHAIRMAN'S STATEMENT

“SGX, like any other prudent entity, has to try to be prepared for, if you like, the known unknowns and the unknown unknowns.”

A GOOD YEAR

SGX has enjoyed a bountiful year, on the back of robust activity in the securities market. The daily average volume of securities trading was 1.7 billion units, up 89% from last year, while average trading value was \$1.6 billion a day, up 57%.

The reasons for the good performance are not difficult to discern. Quite vigorous economic growth in Singapore and globally, coupled with abundant liquidity, strong corporate performance, benign inflation, and low interest rates and risk premiums, are the root causes of the buoyancy of our market, in common with most global markets. The relentless drive by SGX to broaden the appeal of our markets is an added factor.

How long those serendipitous conditions will prevail is unknown. The global outlook continues to bid fair for the ensuing year, the major risk largely coming from identifiable as well as unanticipated shocks of low probability and, of course, indeterminate timing. So SGX, like any other prudent entity, has to try to be prepared for, if you like, the known unknowns and the unknown unknowns.

The situation in the derivatives market was less assured. Growth in futures trading volumes slowed to 10%, from growth of 49% in FY2006. Perhaps the very environmental conditions that fuelled the securities market restrained growth in derivatives. A benign

economic environment with low volatility may have dampened the enthusiasm for hedging and speculation.

Revenue for the year increased 41% to \$576 million, while profit rose 125% to \$422 million.

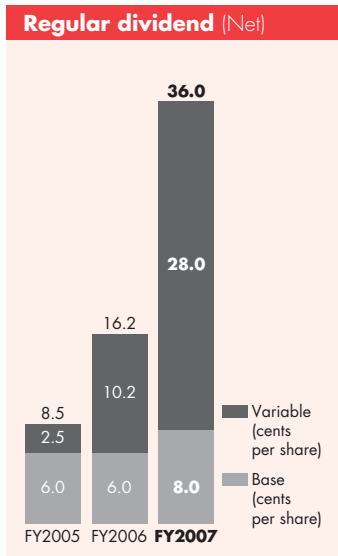
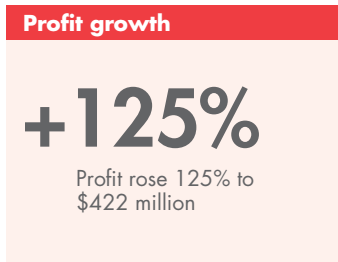
DISPOSAL OF BUILDING

In keeping with the prevailing spirit of the times to go asset-light, SGX sold its premises on Shenton Way for net proceeds of \$266 million, a significant appreciation from the carrying amount of \$201 million. A sizeable slice of the proceeds will be deployed in augmenting our clearing funds and regulatory capital, and part will be available for business expansion. There is a reasonable sum remaining for distribution to shareholders.

ALLIANCES

SGX continued its path of forging alliances with like-minded, open exchanges. Several collaboration agreements and memoranda of understanding were signed with exchanges in Asia and beyond. The purpose of all this activity was not just to create photo-opportunities. Rather, the expectation is that we shall be able to work cooperatively on joint and meaningful projects that result in significant mutual benefits.

Those alliances may be underpinned by selective and modest outward or inbound investments. Thus, we took a 5% stake in the Bombay Stock Exchange in May 2007, while the Tokyo Stock Exchange invested 4.99% in SGX in June 2007. With the Chicago Board of Trade, we have a joint venture JADE, for commodity derivatives. Those deals are designed principally to expand our product range and market reach. They will foster the design and implementation of projects that transcend national boundaries. Regulators will have to keep pace with the demands of an increasingly seamless global marketplace.



DEVELOPING A ROBUST ORGANISATION

SGX keeps improving from year to year, thanks to the prudent monitoring, leadership and encouragement of the board, the diligent efforts of the CEO and his senior managers, and the harmonious participation of all the employees. The executive committee is at the apex of a professional management team, able to hold its own among the best exchanges in Asia and the world.

MISSION STATEMENT

We have laboured under a wordy mission statement for too long. The role of a mission statement is to crisply express the purpose of an organisation. It explains why the entity exists, and describes in realistic terms the aspirations of the board, management, and staff.

So, early in the year, management conducted a bottom-up exercise to redraft the statement. The draft rose through the layers of the organisation to the board, which eventually signed off on it.

The statement now reads as follows: “We aim to offer a highly trusted securities and derivatives marketplace for capital raising, risk transfer, trading, clearing and settlement, and to serve our stakeholders.”

The statement should be of value to all our stakeholders, particularly our employees, who will be encouraged to understand and embrace it, and to strive to fulfil it.

DIVIDENDS

The company’s policy remains to declare a minimum dividend of 80% of net profit, subject to a minimum of 2.0 cents per quarter. This year, directors propose, subject to shareholders’ approval, to pay a total dividend for the year of 36.0 cents per share, compared to 16.2 cents in the previous year. The payout accounts

for 90.4% of NPAT. The dividend for the final quarter is 30.0 cents, as 2.0 cents have been paid for each of the first three quarters.

For financial year 2008, the directors aim to declare a base dividend of 3.0 cents per share every quarter, in tandem with the improved sustainable earnings level of the company.

ACKNOWLEDGEMENT

One director, Mr Tang Wee Loke, is leaving us this year, after serving for nearly five years. I thank him for his sound advice during his service on the board, particularly on the important nexus between the exchange and the brokerage community.

A change of guard in the audit committee took place on 27 July 2007. Mr Ho Tian Yee, who had served diligently and effectively as chairman since the inception of SGX in 1999, asked to be relieved. The nominating committee reluctantly agreed. I thank Tian Yee for his outstanding service. His replacement is Mr Lee Hsien Yang, who I am confident will prove a worthy successor. Hsien Yang has served on the audit committee since 20 January 2005.

I thank my fellow directors on the board for their unstinting cooperation and astute steering of the company. I particularly acknowledge the excellent work of the chairmen and members of the five board committees.

On behalf of all the directors, I express deep gratitude to the CEO and all employees for their work ethic and contributions during the year.


J Y Pillay
Chairman
27 July 2007

MESSAGE FROM THE CHIEF EXECUTIVE OFFICER

“2007 has been a rewarding year. Our results and developments showed steady progress and continued strengthening of SGX as an Asian Gateway exchange.”

Competition is now upon us. The majority of exchanges have become for-profit enterprises. Consolidation has gathered pace in the US and Europe, and resulted in a few combinations that portend global hubs. These hubs aim to converge trading liquidity onto a single platform that offers a spectrum of derivatives only or with both securities and derivatives products.

For those one or two hubs that are largely securities driven, there is intent to dominate fund-raising for international listings. Interestingly, many other exchanges which serve essentially domestic hinterlands have also proclaimed plans to pursue international listings.

As the new order takes shape, it is unclear whether liquidity for securities trading will aggregate in one venue for the plethora of listed companies from across the world. Except for global stocks, trading is more likely to remain geographically confined and time-zone bound. Market participants naturally have better access and accord greater mind-share to news and research closer to home. Hence, trading within the region or time zone will be more active than elsewhere even in a world of increasingly globalised financial markets.

In the Asian time zone, SGX continues to be well-positioned as a regional hub to capture

trade and information flows from the Indian sub-continent on one side, to China and Japan on the other. Besides, it thrives in a developed financial centre well attuned to the dynamics of international capital markets and in a regulatory framework grounded on an Anglo-Saxon legal system. Singapore as a fund management centre continues to grow strongly, with inflows of numerous regional and international fund managers including hedge funds. At SGX, whilst institutional funds are vital, vibrant retail liquidity is just as important to defend against the potential incursion of competing trading platforms.

2007 has been a rewarding year. Our results and developments, as outlined below, showed steady progress and continued strengthening of SGX as an Asian Gateway exchange.

LISTINGS PLATFORM

Our listing platform is now host to more foreign listing aspirants than domestic ones. This year, new foreign listings accounted for 70% of the total number of listings. Overall, foreign listings account for about one-third of our total market in terms of number and market capitalisation, and we expect this to enlarge further. The effort to diversify beyond China is bearing fruit as we listed more non-Chinese foreign companies for the first time. Amongst these are companies from Australia, Europe, Indonesia, Malaysia and the US.

The size of our listed companies has grown notably. We witnessed six listings (Initial Public Offers and Reverse Takeovers) each exceeding \$1 billion market capitalisation. In two years, the number of companies with market capitalisation above \$1 billion has doubled to 120 (40% are foreign), accounting for 85% of total market capitalisation. One fine example is Wilmar International,

a transnational company, which has grown from a \$2 billion Mid-Cap to become a \$20 billion Large-Cap within a year of listing.

Launch of the new board in the coming months will dovetail with our efforts to grow our listings franchise. SESDAQ will be transformed to become a sponsor-supervised board. We will position it against competitors like London's AIM market to be the Asian listings hub for regional high-growth companies.

NICHE LISTINGS AND PRODUCTS

Development of sector-focused themes in REITs (Real Estate Investment Trusts) as well as marine and shipping-related sectors continues to yield results. We expanded the market with an additional six REITs, and four marine and shipping-related companies. These include the largest China REIT, the first REIT in healthcare, two shipping business trusts from Europe and one of China's largest shipbuilders. Market capitalisation for REITs increased by 138% to reach \$29 billion, moving us closer to the market leader in Asia, Japan.

New products such as ETFs (Exchange Traded Funds) are at the early stage of development with small but encouraging trading volume. Since the launch of iShares MSCI India last June, we attracted another eight foreign ETFs providing commodities and regional equities exposure.

TRADING ACTIVITY

This year, turnover velocity for the securities market has increased steadily, averaging 74% in the last six months, compared to 58% last year. Additionally, the weight of Singapore in the MSCI World Index has increased to 0.53 from 0.38 two years ago, thus attracting higher asset allocation by institutional fund managers.

The litmus test for management is to raise structurally the level of trading activities on our exchange. Besides the growth in listings of larger companies, we also aim to improve market participation and efficiency. In the past year, the revision of securities clearing fees has encouraged more retail participation, which now accounts for 46% of the market in value compared to 39% two years ago. To further enhance market efficiency, we are also on track to implement a reduction in minimum bid schedule to lower cost of trading. In addition, we hope to attract an emerging segment of high velocity participants – algorithmic traders. These traders are prevalent in the US and Europe and are beginning to establish a strong presence in Asia.

RISK MANAGEMENT CENTRE

Our diversified suite of derivatives products has gained acceptance as a premier off-shore risk management centre. Our flagship futures products – the Nikkei 225, MSCI Taiwan and MSCI Singapore contracts – have achieved record volumes and open interest in the last 12 months. Nikkei 225 and MSCI Taiwan each accounts for a third of total futures revenue, and the remaining contracts and services make up the last one-third. Our strength currently lies in equity derivatives. Building up a fixed income suite still remains a challenge as our Euroyen contract has not turned out as well as we thought. Our joint venture with CBOT to offer commodities futures is still at its nascent stage of growth.

On the other hand, retail investors are embracing derivatives through the trading of structured warrants. Trading value climbed 49% to reach \$19 billion with nearly half of it traded by foreign retail investors.

Trading value for warrants on foreign underlying also tripled, now accounting for 35% of the total warrants market. Leveraging on the warrants platform, we introduced Certificates, the first to be launched in Asia, providing yet another type of instrument for trading.

POST-TRADE PROCESSING HUB

Efficient post-trade processing capabilities will strengthen our position as a hub for Asia and it is taking shape. The establishment of SGX AsiaClear® in May last year expanded the scope of our clearing business. As Asia’s first over-the-counter clearing service for oil swaps and forward freight agreements, this business has made good progress garnering over 120 counterparty accounts and exceeding US\$1.7 billion in value of trades cleared. Whilst growth has been exponential from a very small start, the contribution to revenue is still insignificant.

The past year was also devoted to the development of SGX Prime which is to allow direct connectivity into SGX’s back office systems. This should improve the operational efficiencies of our depository agents, broking firms and other intermediaries. We are now preparing for its launch in early 2008.

OPERATIONS AND TECHNOLOGY

The perennial priority is to continually improve the robustness of our business and technology infrastructure, so as to be nimble and expeditious in delivery. In line with developments in the marketplace, there is constant demand for new functionalities to support increased trading activities. For this year, we have secured industry-wide consensus for participants to work with GL Trade to develop a new Order Management System. This will replace our SESOPS

terminals for securities trading. A new data engine for derivatives information will be rolled out by the end of this year, and Quest ST, a new securities trading system, is slated for launch in mid-2008.

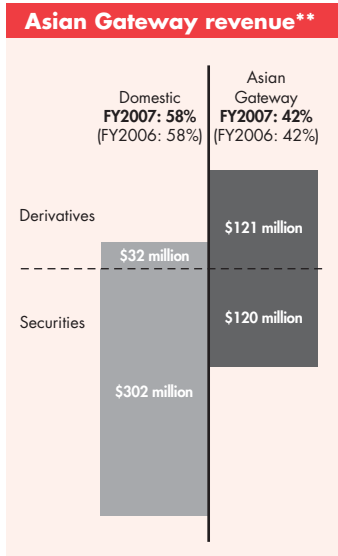
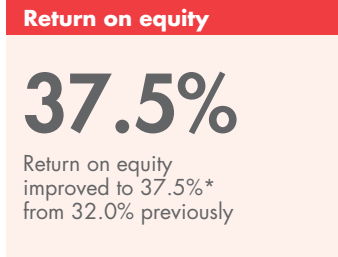
RISK MANAGEMENT AND REGULATION

In tandem with the development of our business, we place emphasis on enhancing our regulatory and risk management functions. This includes a regulatory review of several aspects of our trading and clearing rules, such as the management of failed trades for structured warrants, error trade policies for both securities and derivatives markets, as well as the listing rules and corporate governance practices. To cater for the growing derivatives market, we are augmenting the clearing fund through insurance, guarantees and capital resources.

As a frontline regulator balancing commercial interests and regulatory objectives, we undertook a thorough independent assessment of our conflicts management framework as a Self-Regulatory Organisation (SRO) and implemented a company-wide SRO training programme on conflicts management.

ORGANISATIONAL DEVELOPMENT

In early 2007, a new organisational structure was put in place to better deliver business plans and strategies both from the front-end and back-end perspectives. The creation of the Post Trade Services and Retail Group serves to exploit opportunities in our back-office business and the retail segment. The senior management team has been strengthened with the appointment of one Senior Executive Vice President for Operations and Technology, and three Executive Vice Presidents for Listings, Human Resources, and Development.



** internal estimates

PARTNERSHIPS AND COLLABORATIONS

We do not foresee consolidation taking place within Asia in the near term. To enhance our position as a regional hub, we form partnerships and alliances to extend our product range and globalise our liquidity. To date, alliances are enhanced through strategic equity toeholds. In this endeavour, SGX has acquired a 5% stake in Bombay Stock Exchange and Tokyo Stock Exchange has taken a 4.99% stake in us. This should open up opportunities for business development in two important markets, India and Japan, placing us in good stead for long-term growth.

FINANCIAL PERFORMANCE

SGX saw the best year since our listing in 2000. All revenue categories performed better than in the year before – securities market revenue (up 56%), derivatives market revenue (up 22%) and stable revenue (up 29%).

Our Asian Gateway revenue continues to grow in tandem with the increase in our domestic market. More significantly, the share of operating revenue from foreign securities now accounts for 21% (up from 18% last year) leaving the share of operating revenue from domestic securities relatively constant. This signifies our increasing relevance beyond our home market.

Fixed operating expenses (excluding variable costs such as staff variable bonus, cost of processing and royalties) remained fairly controlled and stable revenue now covers 92% of the fixed operating expenses compared to 76% a year ago.

Overall, our operating return on equity after tax has further improved to 37.5% from 32.0% previously.

CONCLUDING REMARKS

We have seen record securities trading volumes reflecting both a buoyant market and structural improvements in our business. As we transcend our home market as a regional hub, foreign listings is a major driver. We aim to attract the growing pool of transnational Mid-Cap companies. In derivatives, the focus has been to grow more retail activity alongside continuing efforts to introduce relevant products and increase institutional volumes. It should contribute better to the bottom line.

In view of the recent important mergers in US and Europe, we will continue to explore collaboration and possible consolidation with like-minded partners to strengthen and expand our role.

Our success so far is owed to the active support of our customers and shareholders, the contributions and teamwork of all staff, in collaboration with our Chairman and Board, intermediary members, and our regulators. To all of you, I give thanks.


Hsieh Fu Hua
 Chief Executive Officer
 27 July 2007

OUR SOUND DIRECTION

Sound management and good governance drive sustainable growth and are fundamental to the way SGX operates. As both regulator and listed company, we seek always to set and uphold the highest standard of corporate governance for the marketplace.

BOARD OF DIRECTORS

With a broad range of expertise and a good proportion of independent directors, the Board provides effective and knowledgeable oversight. The interests of both SGX and our investors are soundly safeguarded.

J Y PILLAY

Chairman,
Singapore Exchange Limited

Mr Pillay has served as Chairman of the SGX board since 18 November 1999. Since 16 August 2001, he has served as an executive and non-independent director on the SGX board.

Mr Pillay now serves as Chairman of the Council on Corporate Disclosure and Governance, Chairman of the Council of Presidential Advisers and member of the Presidential Council for Minority Rights of the Republic of Singapore, Chairman of Assisi Hospice, director of Mount Alvernia Hospital, Life Trustee of the Singapore Indian Development Association, Chairman of Commonwealth Africa Investments Limited and member of the Council for Third Age.

Mr Pillay held a variety of positions in the Government of Singapore (1961–1995), rising to permanent secretary in 1972. He served in the ministries of finance, defence and national development. Between 1985 and 1989, Mr Pillay was Managing Director

of the Monetary Authority of Singapore and of the Government of Singapore Investment Corporation. He served, in a non-executive capacity, as Chairman of the boards of several government-linked companies, including Singapore Airlines Limited (1972–1996), Temasek Holdings (Private) Limited (1974–1986), Development Bank of Singapore Ltd (1979–1984), and Singapore Technologies Holdings Private Limited (1991–1994).

Mr Pillay graduated with a First Class Bachelor of Science (Honours) from the Imperial College of Science and Technology, University of London in 1956.

Mr Pillay was last re-elected as a director at the Annual General Meeting on 29 September 2006.

HSIEH FU HUA

Chief Executive Officer,
Singapore Exchange Limited

Mr Hsieh has served as CEO and a non-independent director on the SGX board since 1 March 2003. His career has been in merchant banking and capital markets in Asia. He was Managing Partner of PrimePartners – an independent private equity firm based in Singapore, and was Group Managing Director of BNP Prime Peregrine Group in Hong Kong – the joint venture Asian investment banking arm of BNP founded by PrimePartners. Prior to forming PrimePartners in 1993, he was Chief Executive of Morgan Grenfell Asia Holdings Pte Ltd which he joined in 1974.

He is a member of the National University of Singapore Board of Trustees, the board of Government of Singapore Investment Corporation and the National Arts Council. He is also Chairman of SIM Pte Ltd (a subsidiary of the Singapore Institute of Management). He graduated in 1974 from the University of Singapore in Business Administration.

Mr Hsieh was last re-elected as a director at the Annual General Meeting on 22 September 2005.

LOW CHECK KIAN

Chairman,
NewSmith Capital Partners (Asia) Pte Ltd

Mr Low has served as an independent director on the SGX board since 20 July 2000 and was appointed Lead Independent Director in May 2006. He was previously a Senior Vice-President and member of the Executive Management Committee of Merrill Lynch & Co., as well as Chairman of Merrill Lynch Asia Pacific.

Mr Low also sits on the board of the Singapore Workforce Development Agency and is serving as Chairman of its Investment Committee. Mr Low had also held several advisory roles on various Singapore Government Committees, including the Financial Centre Advisory Group.

He graduated from the London School of Economics (LSE) with a Bachelor of Science (Economics) (First Class Honours) in 1983 and a Master of Science (Economics) in 1984. During his stay at LSE, he was awarded the Allan Young Prize, the Baxter-Edey Award and the Henry Luce Foundation Award.

Mr Low was last re-elected as a director at the Annual General Meeting on 22 September 2005.

CHEW CHOON SENG

Chief Executive Officer,
Singapore Airlines Limited

Mr Chew has served as an independent director on the SGX board since 1 December 2004. He is CEO of Singapore Airlines Limited and Deputy Chairman of its listed subsidiaries, SIA Engineering Company Limited and Singapore Airport Terminal Services Limited. Mr Chew is a director of the Government of Singapore Investment Corporation.

He graduated from the University of Singapore with First Class Honours in Mechanical Engineering, and has a Master in Operations Research and Management Studies from the Imperial College of Science and Technology, University of London.

Mr Chew was last re-elected as a director at the Annual General Meeting on 22 September 2005.

EULEEN GOH YIU KIANG

Chairman,
International Enterprise Singapore

Ms Goh serves as an independent director on the SGX board. She is the non-executive Chairman of International Enterprise Singapore, an agency under the Ministry of Trade and Industry spearheading Singapore's efforts to develop its external wing. She is a Chartered Accountant who has held various senior management positions including the role of Chief Executive Officer in Standard Chartered Bank, Singapore. She retired in March 2006 after some 21 years with the Bank.

She is also a non-executive director of Singapore Airlines Limited, MediaCorp Pte Ltd, MOH Holdings Pte Ltd, Standard Chartered Bank Malaysia Berhad and Standard Chartered Bank (Thai) Pcl. She is the Chairman of the Financial Industry Competency Standards Committee, council member of the Singapore Institute of Banking and Finance, and Adviser to the Singapore Institute of International Affairs. She also serves on the board of her alma mater, Singapore Chinese Girls' School.

Ms Goh was elected as a director at the Annual General Meeting on 29 September 2006.

HO TIAN YEE

Executive Director,
Pacific Asset Management (S) Pte Ltd

Mr Ho has served as an independent director on the SGX board since 15 November 1999. He is currently Executive Director of Pacific

Asset Management (S) Pte Ltd. Mr Ho was previously General Manager and Managing Director of Bankers Trust Company Singapore. Mr Ho holds directorship on the boards of Fraser and Neave Ltd and Singapore Power Limited. He also sits on the board of Times Publishing Ltd and is a member of the Risk Committee of the Government of Singapore Investment Corporation. He holds a Bachelor of Economics (Honours) from Portsmouth University, UK.

Mr Ho was last re-elected as a director at the Annual General Meeting on 17 September 2004.

LEE HSIEN YANG

Chairman,
Republic Polytechnic

Mr Lee has served as an independent director on the SGX board since 17 September 2004. He joined Singapore Telecommunications Limited (SingTel) in April 1994 and served as CEO of SingTel from May 1995 until March 2007. He chairs the Republic Polytechnic's Board of Governors and is a member of the Board of Directors of INSEAD, France, and the Governing Board of the Lee Kuan Yew School of Public Policy, and is a Director of The Islamic Bank of Asia Limited. A President's Scholar and an SAF Scholar, Mr Lee obtained First Class Honours in Engineering from Cambridge University, UK and a Master of Science (Management) degree from Stanford University, USA.

Mr Lee was re-elected as a director at the Annual General Meeting on 29 September 2006.

LOH BOON CHYE

Head of Global Markets (Asia),
Deutsche Bank AG, Singapore

Mr Loh has served as an independent director on the SGX board since 22 October 2003. He began his career as an Investment Officer with the Monetary Authority of Singapore in 1989 and joined the Singapore branch of Morgan Guaranty Trust Co of New York in 1992. Since 1995, he has been with Deutsche Bank AG, Singapore and was appointed Head of Global Markets for Asia in 2002.

Mr Loh had served as Chairman of the Capital Markets Working Group (1998), Deputy President of ACI Singapore (1999) and Chairman of the Debt Capital Markets Committee of the Singapore Investment Banking Association (2000). He currently chairs the Singapore Foreign Exchange Market Committee. Mr Loh holds a Bachelor of Engineering (Mechanical) from the National University of Singapore.

Mr Loh was last re-elected as a director at the Annual General Meeting on 22 September 2005.

OLIVIA LUM OOI LIN

Group Chief Executive Officer and President,
Hyflux Ltd

Ms Lum has served as an independent director on the SGX board since 17 September 2004. She began her career as a chemist with Glaxo (S) Pte Ltd in 1986. In 1989, she started Hyflux Ltd, a company specialising in water and waste

water treatment. Currently, Ms Lum holds directorship in Hyflux Ltd. She is also a member of the National University of Singapore Board of Trustees. Ms Lum graduated from the National University of Singapore in 1986 with a Bachelor of Science (Honours).

Ms Lum was re-elected as a director at the Annual General Meeting on 29 September 2006.

NG KEE CHOE

Chairman,
Singapore Power Limited

Mr Ng has served as an independent director on the SGX board since 22 October 2003. Mr Ng is Chairman of Singapore Power Limited. He was appointed Chairman and director of Singapore Power Limited on 15 September 2000. He also became Chairman of SP Australia Networks (Transmission) Ltd and SP Australia Networks (Distribution) Ltd on 31 May 2005.

In addition, Mr Ng is Chairman of NTUC Income Insurance Cooperative Limited and President-Commissioner of PT Bank Danamon Indonesia Tbk. He is also a director of Singapore Airport Terminal Services Limited, a member of the Temasek Advisory Panel and a member of the Advisory Council of China Development Bank. For his contributions to the public sector, Mr Ng was awarded the Public Service Star Award in 2001.

Mr Ng was re-elected as a director at the Annual General Meeting on 29 September 2006.

ROBERT OWEN

Chairman,
Crosby Capital Partners Inc.
Mr Owen has served as an independent director on the SGX board since 17 September 2004. He is Chairman of Crosby Capital Partners Inc., IB Daiwa Corp and International Securities Consultancy Ltd. and a non-executive director of Citibank (Hong Kong) Ltd. and a number of other companies and investment funds. Mr Owen began his career in the UK Foreign Office and Treasury. He later worked for Morgan Grenfell, after which he became Head of Investment Banking for the Lloyds Bank Group.

In 1988, Mr Owen was appointed Adviser to the Hong Kong Government on Securities Markets to implement reforms to the regulation and operation of Hong Kong’s securities and futures markets. In 1989, he became the first Executive Chairman of the Securities and Futures Commission of Hong Kong, where he served until 1992.

Mr Owen is currently a board member of the Dubai Financial Services Authority. He was a member of the Council and Regulatory Board of Lloyds of London from 1993 to 1995. He is also a Governor of Repton School. He graduated with First Class Honours from the University of Oxford, UK, in 1961.

Mr Owen was elected as a director at the Annual General Meeting on 17 September 2004.

TANG WEE LOKE

Deputy Managing Director,
UOB Kay Hian Private Limited
Mr Tang has served as an independent director on the SGX board since 19 December 2002. He has been Deputy Managing Director of UOB Kay Hian Private Limited since 2001. He is a director and significant shareholder of the UOB-Kay Hian Holdings Group which, through its subsidiaries, is engaged in securities broking on the SGX securities market. Mr Tang is also a director of UOB-Kay Hian Holdings Limited, the shares of which are listed and quoted on the SGX Mainboard. He is Deputy Chairman of the Securities Association of Singapore which represents the interests of SGX securities trading members in Singapore. He holds a Bachelor of Business Administration degree.

Mr Tang was last re-elected as a director at the Annual General Meeting on 22 September 2005.

Mr Tang will be stepping down as director at the forthcoming Annual General Meeting on 28 September 2007.

BOARD OF DIRECTORS –
PRESENT AND PAST DIRECTORSHIPS

Present directorships (As at 30 June 2007)	Past directorships over the preceding three years (From 30 June 2004 to 29 June 2007)
MR JOSEPH YUVARAJ PILLAY	
SGX Group Singapore Exchange Securities Trading Limited Singapore Exchange Derivatives Trading Limited The Central Depository (Pte) Limited Singapore Exchange Derivatives Clearing Limited SGX Investment Mauritius Limited SGXLink Pte Ltd	Singapore Exchange IT Solutions Pte Limited Securities Clearing and Computer Services (Pte) Limited SEL Holdings Pte Ltd Asia-Europe Foundation (Member, Board of Governors) Financial Sector Development Fund Advisory Committee of the Monetary Authority of Singapore (Member) Temasek International Panel of the Temasek Holdings (Private) Limited (Chairman) Investment Committee of the United Nations Pension Fund (Member)
Others Council of Presidential Advisers of the Republic of Singapore (Chairman) Presidential Council for Minority Rights of the Republic of Singapore (Member) Council on Corporate Disclosure and Governance (Chairman) Temasek Advisory Panel of the Temasek Holdings (Private) Limited (Member) Singapore Indian Development Association (Life Trustee) Mount Alvernia Hospital (Director) Assisi Hospice (Chairman) Singapore Hospice Council (Member) Commonwealth Africa Investments Limited (Chairman) Lee Kuan Yew School of Public Policy (Adjunct Professor) Council for Third Age (Member)	

Present directorships
(As at 30 June 2007)

Past directorships over the preceding three years
(From 30 June 2004 to 29 June 2007)

MR HSIEH FU HUA

SGX Group

Singapore Exchange Securities Trading Limited
Singapore Exchange Derivatives Trading Limited
The Central Depository (Pte) Limited
Singapore Exchange Derivatives Clearing Limited
AsiaClear Pte Ltd
American Stock Exchange – SGX Pte Ltd
CDP Nominees Pte Ltd
CDP Nominees (II) Pte Ltd
GlobalClear Pte Ltd
Macronet Information Pte. Ltd.
Options Clearing Company (Pte) Limited
Securities Clearing and Computer Services (Pte) Limited
SGX Investment (Mauritius) Limited
SGXLink Pte Ltd
Singapore Exchange IT Solutions Pte Limited

Others

Government of Singapore Investment Corporation
SIM Pte Ltd (Chairman)
(formerly SIM International Pte Ltd)
TIF Ventures Pte Ltd
National Arts Council (Member)
National Gallery (Ministry of Information Communications & the Arts)
(Member, Steering Committee)
National University of Singapore
(Board of Trustees)

Personal

Binjai Inc.
Hogarth Limited
Sunshine Portfolio Sdn Bhd

Asia Converge Pte Ltd
Measurex Engineering Pte Ltd
Measurex Holdings Pte Ltd
PrimeFounders Inc. (formerly PPAC Inc)
PrimePartners Assets Inc.
(formerly PrimePartners Asset Management Inc)
PrimePartners Direct Investment Limited
PrimePartners Management Pte Ltd
ServTouch Holdings Pte Ltd
(formerly WyWy Office Solutions Group Pte Ltd)
Singapore Technologies Endowment Programme Limited
Singapore Institute of Management
(Council Chairman)
National University of Singapore
(Council Member)

Present directorships
(As at 30 June 2007)

Past directorships over the preceding three years
(From 30 June 2004 to 29 June 2007)

MR CHEW CHOON SENG

SIA Group

Singapore Airlines Limited
Singapore Airport Terminal Services Limited (SATS)
SIA Engineering Company Limited

Others

Government of Singapore Investment Corporation

Singapore Aircraft Leasing Enterprise Pte Ltd
Singapore International Foundation
Virgin Atlantic Airways Limited
Virgin Atlantic Limited
Virgin Travel Group Limited

MS EULEEN GOH YIU KIANG

International Enterprise Singapore (Chairman)
MediaCorp Pte Ltd (Chairman of Audit & Risk Committee)
MOH Holdings Pte Ltd
Singapore Airlines Limited (Member of Board Exco and Audit Committee)
Singapore Chinese Girls' School
Standard Chartered Bank Malaysia Berhad (Member of Audit, Risk and Nomination Committee)
Standard Chartered Bank (Thai) Pcl (Member of Nominations Committee)
The Singapore Institute of Banking & Finance (Council Member)
Financial Industry Competency Standards Committee (Chairman)
Northlight School (Chairman/ Board of Governors)
Singapore Institute of International Affairs (Adviser)

Asfinco Singapore Limited
Chartered Corporate Services Singapore Limited
National Heritage Board
Raffles Nominees (Pte.) Limited
Singapore International Chamber of Commerce
Scope International (M) Sdn Bhd
Scope International Private Limited (registered in Chennai)
Standard Chartered (1996) Limited
Standard Chartered (2000) Limited
Standard Chartered International Trade Products Limited
Standard Chartered Investments (Singapore) Private Limited
Standard Chartered Private Equity Limited
S C Learning Pte Ltd

Present directorships (As at 30 June 2007)	Past directorships over the preceding three years (From 30 June 2004 to 29 June 2007)
MR HO TIAN YEE Fraser and Neave Ltd Hexa-Team Planners Pte Ltd Pacific Asset Management (S) Pte Ltd Singapore Power Limited Times Publishing Ltd	Centrepoint Properties Ltd CPL (China) Pte Ltd Great Eastern Holdings Ltd SAVER – Premium Fund, Ministry of Defence <i>(Member of the Board of Trustees)</i> Singapore Power International Pte Ltd SPI Australia Group Pty Ltd SP PowerAsset Ltd The Great Eastern Life Assurance Company Ltd The Overseas Assurance Corporation Limited
MR LEE HSIEN YANG Republic Polytechnic <i>(Chairman)</i> Kwa Geok Choo Pte Ltd. L&L Services (Pte) Ltd. The Islamic Bank of Asia Limited INSEAD, France Governing Board of Lee Kuan Yew School of Public Policy <i>(Member)</i>	Land Transport Authority <i>(Member)</i> MediaCorp Press Ltd. NCS Pte Ltd. Singapore Science Centre Singapore Post Limited Singapore Telecommunications Limited Singapore Telecom Australia Investments Pty Ltd. Singapore Telecom International Pte Ltd. Singapore Telecom Mobile Pte Ltd. SingTel Optus Pty Limited STEL Information Technology (Shanghai) Co. Ltd.

Present directorships (As at 30 June 2007)	Past directorships over the preceding three years (From 30 June 2004 to 29 June 2007)
MR LOH BOON CHYE BC Capital Pte Ltd Gym & Sports Pte Ltd IBF Council Singapore Foreign Exchange Market Committee <i>(Chairman)</i> Financial Sector Development Fund Advisory Committee of MAS <i>(Member)</i>	BondsinAsia Limited BondsinAsia (Singapore) Pte Ltd Deutsche Bank International Asia Ltd Deutsche Securities India (Pte) Ltd
MR LOW CHECK KIAN NewSmith Capital Partners (Asia) Pte Ltd <i>(Chairman)</i> Fibrechem Technologies Limited Singapore Workforce Development Agency Singapore Workforce Development Agency Investment Committee <i>(Chairman)</i>	Citiraya Industries Ltd DSP Merrill Lynch Investment Managers Ltd. DSP Merrill Lynch Limited Infocomm Development Authority of Singapore Infocomm Investments Pte Ltd <i>(Chairman)</i> Merrill Lynch Asia Pacific <i>(Chairman)</i> Merrill Lynch Phatra Securities Co. Ltd. Merrill Lynch Securities Philippines Inc. Merrill Lynch (Singapore) Nominees Pte Ltd Merrill Lynch (Singapore) Pte. Ltd. <i>(CEO)</i> PT Merrill Lynch Indonesia <i>(Commissioner, Board of Commissioners)</i> Smith Zain (Malaysia) Sdn Bhd <i>(Alternate Director)</i> Singapore Art Museum <i>(Member)</i> (under the National Heritage Board)

Present directorships (As at 30 June 2007)	Past directorships over the preceding three years (From 30 June 2004 to 29 June 2007)
MS OLIVIA LUM OOI LIN	
Hyflux Group Hydrochem Engineering (Shanghai) Co. Ltd. Hyflux Aquosus (Shanghai) Co. Ltd Hyflux Filtech (Shanghai) Co. Ltd. Hyflux Filtech (Singapore) Pte Ltd Hyflux Ltd Hyflux Marmon Development Pte Ltd Hyflux Newspring Construction Engineering (Shanghai) Co. Ltd. Marmon Hyflux Investments Pte Ltd Newspring Huludao Co. Ltd. Sinolac (Singapore) Pte Ltd	Hyflux Group Hydrochem (S) Pte Ltd Hyflux Aquosus (Singapore) Pte Ltd Hyflux International Ltd (BVI) Hyflux Lifestyle Products (S) Pte Ltd Menaspring Utility (S) Pte Ltd Nanomax Pte Ltd Sing Spring Pte Ltd
Others National University of Singapore (<i>Board of Trustees</i>) Singapore-Tianjin Economic & Trade Council (<i>Member</i>) Singapore Water Association (<i>President</i>) Temasek Life Sciences Laboratory Limited (<i>Director</i>) The Chinese Development Assistance Council (<i>Trustee Member</i>) The Singapore Productivity Association (<i>Patron</i>)	Others Health Sciences Authority (<i>Board Member</i>) Matex International Ltd Partnership for Equitable Growth (<i>Director</i>) SIM Governing Council (<i>Member</i>) Singapore Institute of International Affairs (<i>Adviser</i>) Singapore-SiChuan Trade & Investment Committee (<i>Member</i>) Spring Singapore (<i>Board Member</i>) UNESCAP Business Advisory Council (<i>Member</i>) Yeo Hiap Seng Ltd

MR NG KEE CHOE	
Singapore Power Group Singapore Power Limited (<i>Chairman</i>) SP Australia Networks (Distribution) Ltd (<i>Chairman</i>) SP Australia Networks (RE) Ltd (<i>Chairman</i>) SP Australia Networks (Transmission) Ltd (<i>Chairman</i>)	DBS Bank Ltd DBS Group Holdings Ltd Wing Lung Bank Ltd Singapore International Foundation (<i>Governor</i>)
Others NTUC Income Insurance Cooperative Limited (<i>Chairman</i>) Singapore Airport Terminal Services Limited (<i>Director</i>) Advisory Council of China Development Bank (<i>Member</i>) PT Bank Danamon Indonesia Tbk (<i>President-Commissioner</i>) Temasek Advisory Panel of Temasek Holdings (Private) Limited (<i>Member</i>)	

Present directorships (As at 30 June 2007)	Past directorships over the preceding three years (From 30 June 2004 to 29 June 2007)
MR ROBERT OWEN	
Citibank (Hong Kong) Ltd Crosby Active Opportunities Feeder Fund Limited Crosby Active Opportunities Master Fund Limited Crosby Capital Partners Inc. (<i>Chairman</i>) (listed on the Alternative Investment Market in London) Crosby China Chips Fund Ltd ECK & Partners Ltd. International Financial Services Consultancy Ltd International Securities Consultancy Ltd. (<i>Chairman</i>) International Securities Information Services Ltd International Securities Institute Ltd IB Daiwa Corporation (<i>Chairman</i>) ISI Publications Ltd. KASB Funds Ltd Repton Foundation Ltd Repton Preparatory School Repton School (<i>Governor</i>) Securities Institute of Hong Kong Ltd Sir John Port's Charity The Dubai Financial Services Authority	Crosby Capital Partners (Hong Kong) Ltd Crosby Capital Partners Limited Crosby Asset Management (Hong Kong) Ltd Crosby Capital Partners (Holdings) Limited Crosby Capital Partners (Shanghai) Limited CMEC GE Capital China Industrial Holdings Ltd. European Capital Company Limited Nirvana Capital Limited Nomura International (HK) Ltd Regent Pacific Ltd Sunday Communications Ltd. Techpacific Capital Ltd.

MR TANG WEE LOKE	
UOB-Kay Hian Holdings Group UOB-Kay Hian Holdings Limited UOB Kay Hian Private Limited UOB Kay Hian Nominees Pte Ltd UOB Kay Hian Research Pte Ltd UOB Kay Hian Trading Pte Ltd Trans-Pacific Credit Private Limited PT UOB Kay Hian Securities (<i>Non-Executive Director</i>) UOB Kay Hian Finance Limited (<i>Non-Executive Director</i>) UOB Kay Hian Overseas Limited (<i>Non-Executive Director</i>) UOB Kay Hian (BVI) Limited (<i>Non-Executive Director</i>) UOBH Kay Hian Securities (Philippines) Inc (<i>Non-Executive Director</i>) UOB Kay Hian Credit Pte Ltd Thong & Kay Hian Corporation Sdn Bhd (<i>Non-Executive Director</i>) (<i>under members' voluntary liquidation</i>)	Kay Hian Holdings Limited (<i>liquidated with effect from 27 July 2007</i>) UOB Kay Hian Securities (Thailand) Co Ltd (<i>Non-Executive Director</i>) UOB Kay Hian (M) Holdings Sdn Bhd
Others Bonham Nominees Pte Ltd Securities Association of Singapore (<i>Deputy Chairman</i>)	

EXECUTIVE COMMITTEE

HSIEH FU HUA
Chief Executive Officer

Mr Hsieh’s profile can be found on page 20 of this Annual Report.

GAN SEOW ANN
Senior Executive Vice President

As Head of Markets, Mr Gan is responsible for the management and distribution of SGX’s suite of securities, derivatives and data products. This involves the development of key customer segments comprising intermediaries, institutions, issuers, traders and data vendors, and facilitating their access and participation in SGX’s markets. Mr Gan also oversees the positioning of Singapore as a choice listing venue. In addition, Mr Gan chairs the Business and Technology Committees, leading the co-ordination and resolution of cross-group issues pertaining to major business and technology initiatives, in line with corporate objectives. He is also responsible for Processing and Retail Business with the charter to transform SGX into a post-trade processing hub and to improve penetration of the retail business. Mr Gan also oversees Corporate and Marketing Communications at SGX.

Prior to joining SGX on 20 March 2001, Mr Gan held various senior regional positions

in the capital markets. From 1996 to 2001, he was Managing Director at Merrill Lynch, Singapore, where he oversaw the company’s business activities in its South East Asian offices and managed its exchange seats in Indonesia, Malaysia, Philippines, Thailand and Singapore. From 1990 to 1996, he was Managing Director of Crosby Securities, responsible for the equities business in Indonesia, Malaysia and Singapore.

Mr Gan serves on several boards, including Seeds Capital, TIF Ventures and National Kidney Foundation. He graduated with a Bachelor of Arts (Economics) with Distinction and holds a Master of Business Administration from McMaster University, Canada.

SECK WAI KWONG
Senior Executive Vice President and
Chief Financial Officer (CFO)*

Mr Seck joined SGX on 2 June 2003. He is Senior Executive Vice President and CFO. Mr Seck also oversees the Clearing and Commodities Business as well as Legal and Compliance. As CFO, his portfolio includes finance and treasury, capital and enterprise risk management, and investor relations. In his role as head of Clearing and Commodities Business, he leads projects such as JADE (Joint Asian Derivatives Exchange), the commodity exchange joint venture with Chicago Board of Trade; and AsiaClear®, the over-the-counter clearing facility for oil swaps and forward freight agreements.

Prior to SGX, Mr Seck held senior executive positions in the Monetary Authority of Singapore and the Government of Singapore Investment Corporation. From 1999 to 2002, he was Managing Director of DBS Bank

where he directed its wealth management business and, prior to that, its corporate and investment banking activities. Mr Seck was the Managing Director and Head of Fixed Income for Asia ex-Japan at Lehman Brothers from 1995 to 1999, and was also the Adviser to the Investment Company of the People’s Republic of China in 1995.

He is currently on the boards of the Energy Market Authority, the Financial Sector Development Fund, and the Institute of Banking and Finance. Mr Seck holds a Master of Business Administration (with Distinction) from the Wharton School, University of Pennsylvania, USA, and a Bachelor of Economics (First Class Honours) from Monash University, Australia.

* Mr Seck was appointed as CFO on 1 August 2007. He was previously CFO from 1 June 2003 to 31 December 2005.

YEO LIAN SIM
Senior Executive Vice President

Ms Yeo is Senior Executive Vice President and Head of the Risk Management & Regulation Group, which is responsible for maintaining a robust regulatory framework for SGX’s operation of a fair, orderly and transparent market. The group encompasses member supervision, issuer regulation, market surveillance, enforcement, risk management and regulatory policy. It also works closely with the Monetary Authority of Singapore (MAS) in developing and enforcing rules and regulations for market participants. Ms Yeo has been with SGX since 1 July 2004 and was promoted to Senior Executive Vice President on 1 August 2007.

Before SGX, Ms Yeo was from Temasek Holdings, where she was responsible for capital resource management. Prior to that, she was at MAS where she held responsibilities in various areas, namely, managing the Singapore dollar exchange rate, money market operations and the investment of foreign reserves, as well as overseeing the regulation of the securities and futures markets.

Ms Yeo graduated with Honours in Economics and Political Science from the University of Singapore and holds a Master’s degree from the London Business School, UK.

MUTHUKRISHNAN RAMASWAMI
Senior Executive Vice President

Mr Ramaswami is Senior Executive Vice President and Chief Operations Officer, heading the Operations and Technology Group. His charter includes market control, clearing and settlement, depository operations, IT planning and governance, IT solutions and services delivery.

Mr Ramaswami joined SGX on 1 July 2007. He was previously from Citigroup Global Consumer Bank where he was the Chief Information Officer with the International Consumer Business. He also held senior executive positions in Citigroup’s international and regional offices.

Mr Ramaswami holds a Master’s Degree in Mathematics (Honours) from Birla Institute of Technology and Sciences, and also a Post Graduate Diploma in Management Studies (Masters in Business Administration) from the Indian Institute of Management, Ahmedabad.

CHEW HONG GIAN

Executive Vice President

Mr Chew is Executive Vice President and Head of Operations, where he oversees and manages the securities and derivatives trading, clearing and settlement operations, securities depository, and customer service functions. Previously, as the Head of Technology, he oversaw the implementation of an integrated trading system and helped modernise SGX’s IT data centres. Mr Chew has also held other senior positions at SGX prior to his current appointment, having been responsible for managing depository operations, marketing brokerage technology solutions and establishing an in-sourcing service. Mr Chew has been with SGX since 10 November 2000.

Before joining SGX, Mr Chew was with the National Computer Board and the Monetary Authority of Singapore where he participated in a strategic review of Singapore’s financial sector.

He graduated from the University of Michigan, USA with a Bachelor (Highest Honours) and a Master in Computer Science. He also holds a Master of Business Administration (International Business) from the Nanyang Business School of Singapore.

DANIEL TAN BAK HIANG

Executive Vice President

Mr Tan was with the Stock Exchange of Singapore (SES) since 16 September 1983, and joined SGX when SES and the Singapore International Monetary Exchange were

merged in 1999 to form SGX. He is Executive Vice President and in charge of Processing and Retail Business. His responsibilities include increasing the depth and breadth of retail participation in the securities and derivatives market, conducting strategic studies and analysis of consumer investing behaviour, and the development of retail-oriented products and services.

Prior to leading Processing and Retail Business, Mr Tan was the Head of Operations, as well as Head of Technology. He played a key role in the implementation of SGX’s strategic IT initiatives and was responsible for aligning these initiatives with SGX’s strategic vision.

Mr Tan was previously with the Housing & Development Board. He holds a degree in Computer Science from the University of Toronto, Canada.

LINUS KOH KIA MENG

Executive Vice President

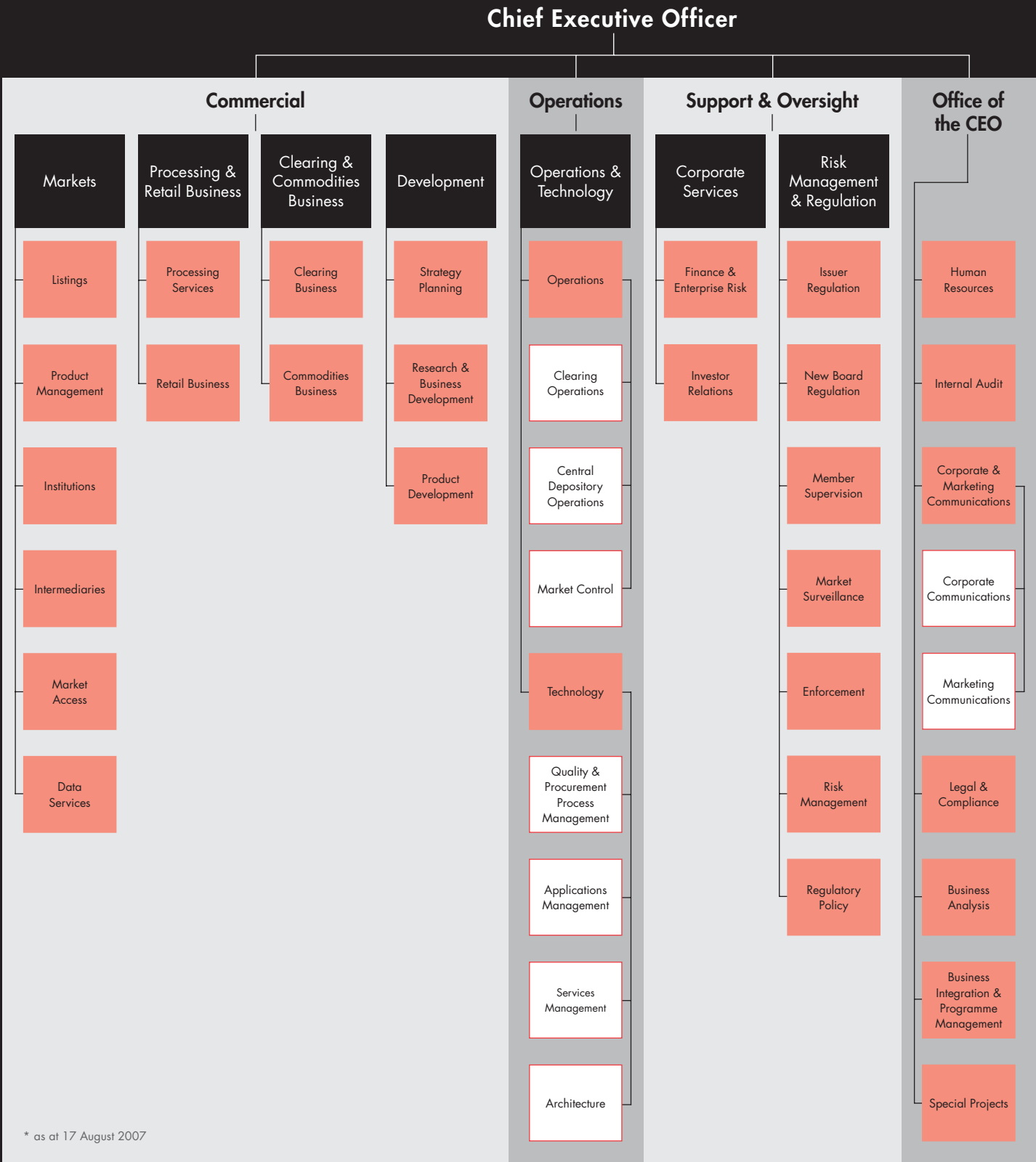
Mr Koh joined SGX on 20 May 2004 and was Chief Financial Officer, Head of Corporate Services Group and Head of Strategy unit from 1 December 2006 to 31 July 2007. His last day of service with SGX was 31 August 2007.

ROBERT W VAN ZWIETEN

Executive Vice President

Mr van Zwieten joined SGX as Chief Financial Officer and Head of Corporate Services Group on 1 January 2006. His last day of service with SGX was 30 June 2007.

SGX ORGANISATION*



SGX ORGANISATION

Markets

Markets is responsible for managing and distributing SGX’s suite of securities, derivatives and data products and services. This involves developing key customer segments comprising intermediaries, institutions, issuers, traders and data vendors, and facilitating their access and participation in our markets. The group also takes the lead in positioning Singapore as a choice listing venue.

Processing & Retail Business

Processing and Retail Business is entrusted with increasing penetration into the retail market. It champions the development and distribution of products and services for the retail investor. It is also responsible for the expansion of SGX’s post-trade processing business.

Clearing & Commodities Business

Clearing and Commodities Business drives the over-the-counter clearing business and develops new clearing business opportunities for SGX. AsiaClear®, our over-the-counter clearing facility, and JADE (Joint Asian Derivatives Exchange) come under its purview.

Development

Responsible for strategy planning and the development of new businesses and traded products, the group steers vital product development from incubation through to launch.

Operations & Technology

This group is responsible for the technology infrastructure necessary to provide market reliability and high availability. The group is also responsible for all the operations functions – securities and derivatives trading, clearing and settlement operations, securities depository and customer service.

Corporate Services

The group takes charge of the overall financial management of SGX and drives the investor relations function. Corporate Services also ensures good capital and treasury management, enterprise risk management, financial planning and reporting, as well as facilities management.

Risk Management & Regulation

Pivotal to SGX’s role as a regulator, the group operates a fair, orderly and transparent marketplace by developing a robust regulatory framework, rigorous market surveillance and effective enforcement. It works closely with the Monetary Authority of Singapore on rules and regulations for market participants, and oversight of corporate governance of listed companies.

OFFICE OF THE CEO

Human Resources

The unit develops and aligns SGX’s people strategy to meet business objectives. It is the key driver for human capital policy and development, championing programmes and processes which benefit staff and optimise business performance.

Internal Audit

Functioning independently, Internal Audit assesses risks, validates controls and governance processes. It is responsible for providing reasonable assurance to the board, Audit Committee and management that SGX’s risk management, controls and governance processes are adequate and effective.

Corporate & Marketing Communications

Marketing Communications drives demand generation initiatives and awareness of products and services. The brand custodian of SGX, Corporate Communications fosters positive relations with stakeholders, including the media and public.

Legal & Compliance

The three functions of the unit are Legal, Company Secretarial and Compliance. Its purpose is to enable management to execute business strategies and to protect SGX and its subsidiaries from assuming inappropriate legal, regulatory or reputational risks. The legal function advises on legal and regulatory matters. The corporate secretarial function manages the running of the board and its committees. Compliance assists SGX to comply with its responsibilities as an exchange. Legal and Compliance is also the secretariat for the disciplinary tribunals and the SGX investor compensation funds.

Business Analysis

The Business Analysis unit acts as liaison between the Commercial and Operations SBUs within SGX. It is responsible for analysing and specifying detailed requirements for business information systems.

Business Integration & Programme Management

Business Integration & Programme Management maintains the full prioritised SGX project portfolio and monitors the progress of each to ensure all risks and issues are addressed in a timely manner. It provides regular status reports to SGX management and maintains the SGX projects life cycle process guidance and provides support and assistance to the project managers.

SELF-REGULATORY ORGANISATION
GOVERNANCE REPORT

INTRODUCTION

SGX operates approved exchanges and designated clearing houses under the Securities and Futures Act (the SFA). SGX is obliged by law to meet certain regulatory objectives set out in the SFA. As a demutualised listed company, SGX is obliged to advance its shareholders’ interests through its commercial activities.

The pursuit of profit may, in certain circumstances, be perceived as conflicting with the pursuit of high regulatory standards. However, SGX’s regulatory and commercial objectives are not necessarily opposed. In fact, SGX recognises that high quality regulation sustains an enduring marketplace, which is in the interest of SGX shareholders. The management of Self-Regulatory Organisation (SRO) conflicts is therefore an integral part of SGX’s corporate governance policy. To this end, SGX works closely with, and under the supervision of, the Monetary Authority of Singapore, which is its statutory regulator. This includes public consultations and management of SGX’s rulebooks to ensure that SGX’s regulatory framework remains current and relevant.

CONFLICTS COMMITTEE

The Conflicts Committee, which comprises solely of independent directors, manages the supervision of SGX’s SRO conflicts for the board. The Conflicts Committee is charged with reviewing the adequacy of resources allocated to SGX’s regulatory work, ensuring that adequate systems and processes are in place to manage SRO conflicts and, where necessary, making decisions on specific cases of SRO conflicts referred to it.

This year, the Conflicts Committee has overseen the establishment of comprehensive SRO conflicts governance policies and procedures. The Conflicts Committee has also reviewed SGX’s handling of potential SRO conflict situations, including listing approvals, the fair and objective enforcement of rules and the adequacy of resources within Risk Management & Regulation for conducting its regulatory functions effectively.

APPOINTMENT OF INDEPENDENT
CONSULTANT

In June 2006, the Conflicts Committee appointed Mr Robert Nottle, former Chairman of the Securities and Futures Commission of Hong Kong and former director of the Australian Stock Exchange Supervisory Review, to undertake an independent review of SGX’s SRO conflicts management framework. In his report, Mr Nottle concluded that SGX’s overall SRO conflicts management framework, from its organisational structure to funding for regulatory functions, satisfied its obligations as an SRO. He also noted a high degree of observance with the spirit and the letter of SGX’s SRO Conflicts Code. However, he emphasised that SRO conflicts governance

was an ongoing obligation and made a number of recommendations for improvement. All the recommendations have been accepted by the board and the management of SGX. The key measures implemented by SGX are described below.

SRO CONFLICTS TRAINING PROGRAMME

SGX’s Regulatory Policy Unit has successfully implemented a comprehensive SRO conflicts training programme. All SGX executive management staff have completed the training, which includes interactive scenario discussions. The training programme continues at staff level, with the objective of increasing awareness of SRO conflicts for all SGX staff. SRO conflicts training has also been incorporated into the induction programme for all new SGX employees.

SRO CONFLICTS CODE AND
SRO CONFLICTS HANDBOOK

The SGX SRO Conflicts Code contains the core principles for SRO conflicts governance in SGX. As part of a holistic review of SGX’s SRO conflicts documentation, the Regulatory Policy Unit reviewed the SRO Conflicts Code. To complement the SRO Conflicts Code, the Regulatory Policy Unit also drafted and compiled a comprehensive SRO conflicts handbook.

The handbook was drafted in close collaboration with the relevant regulatory and

business units and with feedback from Internal Audit. It is intended to act as a resource for all SGX staff. Together with the SGX SRO conflicts training programme, the handbook provides context and guidance for staff in relation to the application of the SRO Conflicts Code and the unit-level guidelines. The handbook will be continuously updated and expanded as necessary, to remain relevant.

REVIEW OF REGULATORY KEY
PERFORMANCE INDICATORS

The effective management of SRO conflicts requires awareness and endorsement by both regulatory and commercial units in SGX. To this end, SGX has undertaken a thorough review of regulatory key performance indicators (KPIs) in order to capture qualitative regulatory objectives, not only for regulatory units, but also for business units. The establishment of regulatory KPIs across SGX will facilitate the establishment of an organisational culture that values good SRO conflicts governance.

CONCLUSION

SGX’s business is founded on maintaining the trust of all market participants. Good corporate governance is a critical distinguishing component of SGX’s value proposition. As part of our corporate governance policy, SGX is committed to managing and resolving SRO conflicts scrupulously.

DISCIPLINARY AND APPEALS COMMITTEES

A member of SGX or a person registered with SGX who fails to comply with the Rules or Requirements of the Exchange or Clearing House may be charged before a Disciplinary Committee. The Disciplinary Committee hears the charge and decides whether the member or the registered person has violated any Rules or Requirements of the Exchange or Clearing House and, if so, decides on the appropriate penalty. A member or registered person charged and convicted before a Disciplinary Committee may be reprimanded, fined, suspended and/or expelled.

SGX has a total of four Disciplinary Committees, one each for securities and derivatives trading and clearing. The Disciplinary Committees heard a total of three cases in the year, two cases for securities trading and one case for derivatives trading. The Disciplinary Committees comprise experienced industry participants and legal experts with extensive knowledge of the industry. The composition of the Disciplinary Committees is as follows:

SGX-Derivatives Trading and Derivatives Clearing Disciplinary Committee members

Name	Profession
Ho Tian Yee (Chairman)	Fund Manager, Pacific Asset Management (S) Pte Ltd
David Yeow	Lawyer, Rajah & Tann
Tan Kah Gee	Futures Broker, The Mizuho Futures (S) Pte Ltd
George Teo Choa Chee*	Futures Broker, UOB Bullion & Futures Ltd
Steve Ng Kuan Kuen	Banker, Deutsche Bank

SGX-Securities Trading and CDP Disciplinary Committee members

Name	Profession
Fong Kwok Jen (Chairman)	Lawyer, Fong Law Corporation
Nels Radley Friets	Stockbroker, Citigroup Global Markets Singapore Pte Ltd
Leong Mun Wai	Stockbroker, DBS Vickers Securities (Singapore) Pte Ltd
Petrus Huang Yen San	Lawyer, Drew & Napier LLC
Hamidul Haq	Lawyer, Rajah & Tann

The member or registered person may appeal to SGX’s Appeals Committee against the decision of the Disciplinary Committee. A new Appeals Committee was formed in 2006. The new Appeals Committee comprises entirely independent members who are not directors, employees or officers of SGX or its related companies. The new Appeals Committee heard two appeals in the year, with its first appeal heard in February 2007. The decision of the Appeals Committee is final. The Appeals Committee comprises industry experts and professionals with years of experience in the industry. The present composition of the Appeals Committee is as follows:

SGX Appeals Committee members

Name	Profession
Michael Sydney Hwang (Chairman)	Lawyer, Michael Hwang
Lim Choo Peng	Consultant
Colin Ng Teck Sim	Lawyer, Colin Ng & Partners
Michael Wong Ping Seng	Futures Broker, Phillip Futures Private Limited
Hugh Young	Fund Manager, Aberdeen Asset Management Asia Limited

* retired February 2007.

CORPORATE GOVERNANCE REPORT

The Listing Manual of Singapore Exchange Securities Trading Limited (SGX-ST) requires all listed companies to describe, in their Annual Reports, their corporate governance practices, with specific reference to the principles of the Singapore Code of Corporate Governance introduced in April 2001 and amended in 2005 (Code). This report deals with our corporate governance as a listed company and is to be read in conjunction with the SRO Governance Report, which sets out our corporate governance as a self-regulatory authority.

We have applied all the principles and comply with all the guidelines of the Code.

The Corporate Governance Report (Report) is structured in a tabular form, stipulating each principle and guideline of the

Code in running order. Alongside the guidelines we have indicated whether we have complied with the recommendation and elaborated on our corporate governance procedures where necessary.

Unless specified otherwise, references to independence of directors, are references to independence as defined under the Code.

The independence requirements under the Securities and Futures (Corporate Governance of Approved Exchanges, Designated Clearing Houses and Approved Holding Companies) Regulations 2005 (SFR 2005) are also set out in tabular form in this Report for ease of reference.

PRINCIPLE 1: Board’s conduct of its affairs
Every company should be headed by an effective board to lead and control the company. The board is collectively responsible for the success of the company. The board works with management to achieve this and the management remains accountable to the board.

Guidelines of the 2005 Code	Compliance	SGX Corporate Governance practices related to principle
1.1 The board’s role is to:		The board oversees the company’s business affairs. The key matters for board oversight include:
(a) Provide entrepreneurial leadership, set strategic aims and ensure that the necessary financial and human resources are in place for the company to meet its objectives;	✓	(a) approving broad policies, strategies and objectives of the company;
(b) Establish a framework of prudent and effective controls which enables risk to be assessed and managed;	✓	(b) monitoring management performance;
		(c) overseeing the processes for evaluating the adequacy of internal controls, risk management, financial reporting and compliance;
		(d) approving annual budgets, major funding proposals, investment and divestment proposals; and
		(e) assuming responsibility for corporate governance.
		See Principle 12 on internal controls and risk management.
(c) Review management performance; and	✓	The Remuneration Committee reviews, on an annual basis, management performance to determine the award of variable bonus and other incentive schemes as set out in the Remuneration Report.
(d) Set the company’s values and standards and ensure that obligations to shareholders and others are understood and met.	✓	The board approves the Mission Statement and the appropriate balance between SGX’s regulatory and commercial objectives. It has appointed the Conflicts Committee to manage the supervision of SGX’s SRO conflicts. Please refer to the SRO Governance Report.

Guidelines of the 2005 Code	Compliance	SGX Corporate Governance practices related to principle
1.2 All directors must objectively take decisions in the interests of the company.	✓	
1.3 The company should disclose any delegation of authority by the board to any board committee to make decision on certain board matters.	✓	Please refer to the Terms of Reference of board committees at www.sgx.com.
1.4 (a) The board should meet regularly and as warranted by particular circumstances, as deemed appropriate by the board members.	✓	
(b) The company is encouraged to amend the Articles of Association to provide for telephonic and videoconference meetings.	✓	Article 106(B) of the Company's Articles of Association.
(c) The company should disclose the number of board and board committee meetings held in the year as well as the attendance of every board member at these meetings in the company's annual report.	✓	Please refer to the Directors' Meeting Attendance Report.
1.5 The company should adopt internal guidelines setting forth matters that require board approval and specify in the corporate governance disclosures the type of material transactions that require the board approval under such internal guidelines.	✓	Matters which are specifically reserved to the board for approval are: (a) matters involving a conflict of interest for a substantial shareholder or a director; (b) material acquisitions and disposal of assets; (c) corporate or financial restructuring; (d) share issuances, dividends and other returns to shareholders; (e) matters which require board approval as specified under the company's interested person transaction policy; and (f) any investments or expenditures exceeding \$10 million in total.
1.6 Every director should receive appropriate training ¹ , particularly on relevant new laws, regulations and changing commercial risks and including duties as a director and how to discharge such duties, when he/she is first appointed to the board.	✓	We conduct a comprehensive orientation programme to familiarise new directors with the company's business and governance practices. The aim of the orientation programme is to give directors a better understanding of our businesses and allow them to assimilate into their new roles.

¹ The training should include an orientation programme to ensure that incoming directors are familiar with the company's business and governance practices.

Guidelines of the 2005 Code	Compliance	SGX Corporate Governance practices related to principle
1.7 Upon appointment of each director, the company should provide a formal letter to the director, setting out the director's duties and obligations.	✓	Please refer to paragraph 4.6(b).
1.8 The company is encouraged to provide training for first-time directors in areas such as accounting, legal and industry-specific knowledge.	✓	Each director is provided with an annually updated manual containing board and company policies relating to the disclosure of interests in securities, disclosure of conflicts of interest in transactions involving the company, prohibition on dealings in our securities and restrictions on the disclosure of price-sensitive information. Directors are also informed of regulatory changes initiated by or affecting us. We have an ongoing training budget for directors to receive further relevant training of their choice in connection with their duties. Relevant courses include programmes run by the Singapore Institute of Directors. Directors are also welcome to request further explanations, briefings or information on any aspect of our operations or business issues from management.

PRINCIPLE 2: Board Composition and Guidance
There should be a strong and independent element on the board, which is able to exercise objective judgement on corporate affairs independently, in particular, from management.

Guidelines of the 2005 Code	Compliance	SGX Corporate Governance practices related to principle
2.1 The company should have at least one-third of the board comprising independent directors ² .	✓	The board comprises 12 directors. The Chairman and the CEO are the only executive directors while the remaining 10 directors are non-executive directors. In compliance with the requirements of the SFR 2005, 8 of the 12 directors are independent from management and business relationships and are independent directors as defined under the SFR 2005. Ten of the 12 are independent from substantial shareholders as defined under the SFR 2005. A table setting out each director's independence under the Code and under the SFR 2005 is included in this Report.

² An "independent" director is one who has no relationship with the company, its related companies or its officers that could interfere, or be reasonably perceived to interfere, with the exercise of the director's independent business judgement with a view to the best interest of the company. A related company in relation to a corporation includes its subsidiary, fellow subsidiary or parent company.

Guidelines of the 2005 Code	Compliance	SGX Corporate Governance practices related to principle
2.2 Where the company considers a director to be independent in spite of the existence of a relationship as stated in the Code, which would otherwise deem him as non-independent, the nature of the director's relationship and the reason for considering him as independent should be disclosed.	✓	Under the SFR 2005, it is mandatory for the nominating committee (NC) to determine if a director is independent. If the NC considers a director independent notwithstanding that he is deemed non-independent under the SFR, the NC must write to MAS with an explanation of its decision as to why the director should be considered independent. MAS may object to the NC's decision to find the director independent and may require a change to the composition of the board or relevant board committee.
2.3 The board should, taking into account the scope and nature of the operations of the company, examine the size and decide on what it considers an appropriate size for the board, which facilitates effective decision-making.	✓	The board considers that the present board size (12) and number of board committees facilitate effective decision-making. The board feels that 10 to 13 directors will provide sufficient diversity of expertise without interfering with efficient decision-making.
2.4 The board should comprise directors who as a group provide core competencies such as accounting or finance, business or management experience, industry knowledge, strategic planning experience and customer-based experience or knowledge.	✓	The board considers that its directors possess the necessary competencies to lead and govern SGX effectively.
2.5 Non-executive directors:-		
(a) Constructively challenge and help develop proposals on strategy; and	✓	Once a year, a formal executive session is arranged for the non-executive directors (NEDs) to meet without the presence of management or executive directors to review any matters that must be raised privately. The session is chaired by the chairman of the NC who is also the lead independent director (LID). The terms of reference of the LID are available at www.sgx.com .
(b) Review the performance of management in meeting agreed goals and objectives and monitor the reporting of performance.	✓	The RC comprising only NEDs, reviews management's performance and determines the rewards for such performance.
2.6 NEDs are encouraged to meet regularly without management presence.	✓	The LID co-ordinates informal meeting sessions for NEDs to meet.

PRINCIPLE 3: Chairman and Chief Executive Officer
There should be a clear division of responsibilities at the top of the company – the working of the board and the executive responsibility of the company's business – which will ensure a balance of power and authority, such that no one individual represents a considerable concentration of power.

Guidelines of the 2005 Code	Compliance	SGX Corporate Governance practices related to principle
3.1 (a) The Chairman and Chief Executive Officer ("CEO") should be separate persons to ensure an appropriate balance of power, increased accountability and greater capacity of the board for independent decision-making.	✓	
(b) The division of responsibilities between the Chairman and CEO should be clearly established and set out in writing and agreed by the board.	✓	The Chairman manages the business of the board and the board committees, and monitors the translation of the board's decisions and wishes into executive action. The Chairman approves the agendas for board and board committee meetings, and exercises control over the quality, quantity and timeliness of information flow between the board and management. The CEO manages the businesses of the company and implements the board's decisions. The CEO has appointed an executive committee (EXCO), comprising senior management executives, to assist him. The CEO is chairman of the EXCO. The CEO and the EXCO are responsible for the day-to-day operation and administration of the company.
(c) The company should disclose the relationship between the Chairman and CEO where they are related to each other.	✓	There is no relationship between the Chairman and CEO.

Guidelines of the 2005 Code	Compliance	SGX Corporate Governance practices related to principle
3.2 The Chairman should:-		
(a) Lead the board to ensure effectiveness on all aspects of its role and set the agenda;	✓	The Chairman approves the agendas for the board. Agendas for board committees are approved by Chairman together with the chairmen of the board committees.
(b) Ensure that the directors receive accurate, timely and clear information;	✓	The Chairman exercises control over the quality, quantity and timeliness of information flow between the board and management.
(c) Ensure effective communication with shareholders;	✓	Please refer to Principles 14 and 15.
(d) Encourage constructive relations between the board and management;	✓	Board interaction with, and independent access to, senior management is encouraged. We organise a directors' off-site with senior management annually. EXCO members are invited to attend board meetings. In addition, board members have the contact details of each EXCO member.
(e) Facilitate the effective contribution of NEDs in particular;	✓	This role is performed by the Chairman and the IID.
(f) Encourage constructive relations between executive directors and NEDs; and	✓	This role is performed by the Chairman and the IID.
(g) Promote high standards of corporate governance.	✓	The Chairman is committed to SGX complying with the Code, and in some areas going beyond the Code. See for example the Code on Share Dealing and Interested Person Transactions Policy at paragraph 16.
3.3 The company may appoint an independent NED to be Lead Independent Director where the Chairman and the CEO is the same person or related by closed family ties or part of the executive management team.	✓	The board appointed Mr Low Check Kian as IID in May 2006 to lead and co-ordinate the activities of the NEDs of the company. The IID aids the NEDs to constructively challenge and help develop proposals on strategy, review the performance of management in meeting agreed goals and objectives, and monitor the reporting of performance.

PRINCIPLE 4: Board Membership

There should be a formal and transparent process for the appointment of new directors to the board.

Guidelines of the 2005 Code	Compliance	SGX Corporate Governance practices related to principle
4.1 The company should:-		
(a) establish a nominating committee ("NC") comprising at least three directors, a majority of whom including the Chairman, are independent of any substantial shareholder ³ ; and	✓	The NC is chaired by Mr Low Check Kian, who is the IID. Mr Low is not associated with any substantial shareholder. Mr Low is also independent from management and business relationships as defined under the SFR 2005. The majority of the NC members are independent. In compliance with the requirements of the SFR 2005, the NC has five members. Three of the five are independent from business and management relationships and are independent directors as defined under the SFR 2005. All five are independent from any substantial shareholder as defined under the SFR 2005.
(b) disclose the membership in the annual report.	✓	Please refer to the Corporate Information section in the Annual Report.
The NC should have written terms of reference that describe the responsibilities of NC members.	✓	Please refer to the NC terms of reference at www.sgx.com
4.2 The NC should be responsible for re-nomination having regard to the director's contribution and performance (e.g. attendance, preparedness, participation and candour) as an independent director.	✓	
All directors are required to submit themselves for re-nomination and re-election at regular interval and at least every three years.	✓	We place importance on the board renewal process. Since our listing in 2000, only three members of the original board remain. Our articles provide that at each Annual General Meeting, one-third of the directors for the time being (or, if their number is not a multiple of three, the number nearest to but not less than one-third) shall retire from office by rotation.

³ A substantial shareholder is a shareholder with interest of 5% or more in the voting shares of the company.

Guidelines of the 2005 Code	Compliance	SGX Corporate Governance practices related to principle
4.3 The NC should be responsible for determining annually if a director is independent. If the NC determines that a director, who has one or more of the relationships, mentioned in Guideline 2.1 can be considered independent, the company should make a disclosure as stated in Guideline 2.2.	✓	The NC conducts an annual review of director independence. The NC also considers the length of a director's tenure to determine their independence. Based on the Code's criteria for independence, all the NEDs are independent. We are also required to comply with MAS's more stringent requirements of independence as set out in the SFR 2005. We have had the requisite number of independent directors as defined in the SFR 2005 sitting on the board and board committees since the 2006 Annual General Meeting (AGM). <u>SFR2005 Director's Independence</u> To be independent as defined under the SFR 2005, a director must be non-executive, and independent of certain business and management relationships with the company and its subsidiaries. A director cannot have connections with our member firms or related companies of our member firms to be deemed independent. The director must not be connected to any substantial shareholder of the company. The NC has ascertained that a majority of the board members are independent according to this criterion. A table setting out the independence requirements for the board under the SFR 2005, and our compliance, is set out in this Report.
4.4 The NC should decide if a director, who has multiple board representations, is able to and has been adequately carrying out his/her duties as a director of the company.	✓	The NC considers whether directors who serve on many boards are able to commit the necessary time to discharge their responsibilities.
4.5 A description of the process for the selection and appointment of new directors, including disclosure on the search and nomination process, to the board should be disclosed.	✓	The policy and procedures for the appointment of NEDs are posted on our website, including a description on the search and nomination process.

Guidelines of the 2005 Code	Compliance	SGX Corporate Governance practices related to principle
4.6 The following information should be disclosed in the company's annual report:- (a) Key information of directors:- • academic/professional qualifications; • shareholding in the company and its subsidiaries; • board committees, date of first appointments & date of last re-election; and • directorships or chairmanships both present and those held over the preceding three years in other listed companies and other major appointments.	✓	Please refer to Board of Directors section of the Annual Report.
(b) Corporate governance, which directors are executive, non-executive or considered to be independent.	✓	Please refer to the table setting out the independence status of the individual directors in this Report.
The names of the directors submitted for election or re-election should also be accompanied by details and information to enable shareholders to make informed decisions.	✓	Generally all new directors are proposed for election by shareholders at the Annual General Meetings with sufficient details of their Curriculum Vitae to enable shareholders to make an informed choice. Subsequently, a formal letter of appointment is provided. The formal letter of appointment indicates the amount of time commitment required and the scope of duties.

PRINCIPLE 5: Board Performance

There should be a formal assessment of the effectiveness of the board as a whole and the contribution by each director to the effectiveness of the board.

Guidelines of the 2005 Code	Compliance	SGX Corporate Governance practices related to principle
5.1 Every board should implement a process to be carried out by the NC for assessing the effectiveness of the board as a whole and for assessing the contribution by each individual director to the effectiveness of the board. This assessment process should be disclosed in the annual report.	✓	

Guidelines of the 2005 Code	Compliance	SGX Corporate Governance practices related to principle
5.2 The NC should decide how the board's performance may be evaluated and propose objective performance criteria.	✓	This year, the NC reviewed the process for evaluation of the board as a whole. The NC will assess and discuss the performance of the board as a whole every year, and will ascertain key areas for improvement and requisite follow-up actions. Every two years, independent consultants will be appointed to assist in the board evaluation process. Board and board committee performance will be evaluated by each director and EXCO member.
Performance criteria, which allow for comparison with industry peers, should be approved by the board and address how the board has enhanced long-term shareholders' value and should not be changed from year to year.	✓	The board performance targets include a measure aligned with shareholders' interests, as well as a measure to capture its regulatory responsibilities as a self-regulatory organisation. The board is required to ensure that a proper balance is maintained between our commercial objectives and our regulatory responsibilities. Please refer to the SRO Governance Report.
5.3 The performance evaluation should also consider the company's share price performance over a five-year period vis-à-vis the Singapore Straits Times Index (STI) and a benchmark index of its industry peers.	✓	The board has adopted the recommendation of using quantitative financial indications. Performance is assessed on a 3–5 year rolling average basis. The measures are: (i) an absolute Total Shareholder Return (TSR); (ii) SGX's TSR against the STI TSR; and (iii) SGX's TSR against the STI TSR compared to other regional peer exchanges' TSR performance against their respective home indices TSRs.
5.4 Individual evaluation should aim to assess whether each director continues to contribute effectively and demonstrate commitment to the role (including commitment of time for board and committee meetings, and any other duties).	✓	There is an individual assessment of each NED's effective contribution by the Chairman, and the results of the assessment are discussed with the NC chairman. Some factors considered in the individual review are directors' attendance and participation at meetings, the quality of directors' interventions and special skills and contributions made by directors. The assessment of the Chairman's and the CEO's performance is undertaken by the RC together with the chairman of the NC and the results are reviewed by the board.
5.5 The Chairman of the board should act on the results of the performance evaluation, and where appropriate, propose new members be appointed to the board or seek the resignation of directors, in consultation with the NC.	✓	
5.6 Other performance criteria that may be used include return on assets ("ROA"), return on equity ("ROE"), return on investment ("ROI") and economic value added ("EVA") over a longer-term period.	✓	

PRINCIPLE 6: Access to Information

Board members should be provided with complete, adequate and timely information prior to board meetings and on an ongoing basis.

Guidelines of the 2005 Code	Compliance	SGX Corporate Governance practices related to principle
6.1 Management has an obligation to supply the board with complete, adequate information in a timely manner. Relying purely on what is volunteered by management is unlikely to be enough in all circumstances and further enquiries may be required if the particular director is to fulfil his or her duties properly. Hence, the board should have separate and independent access to the company's senior management.	✓	Proposals to the board for decision or mandate sought by management are in the form of memos that give the facts, analysis, resources needed, expected outcomes, conclusions and recommendations. Board and board committee papers are distributed a week in advance of the meeting to directors. Staff who can provide additional insight into matters to be discussed will be present at the relevant time during the board and board committee meetings. Draft agendas for board and board committee meetings are circulated to EXCO and board committee members respectively, in advance, in order for them to add items to the agenda.
6.2 Information provided should include background or explanatory information relating to matters to be brought before the board, copies of disclosure documents, budgets, forecasts and monthly internal financial statements. In respect of budgets, any material variance between the projections and actual results should also be disclosed and explained.	✓	Analyst reports on SGX are forwarded to the board every quarter in order for directors to keep abreast of analysts' views on our performance. Monthly financial management reports are also provided to the board. Please refer to paragraph 10.2.
6.3 Directors should have separate and independent access to the Company Secretary. The role of the Company Secretary should be clearly defined and should include responsibility for ensuring that board procedures are followed and that applicable rules and regulations are complied with.	✓	Under the direction of the Chairman, the Company Secretary's responsibilities include ensuring good information flows within the board and its committees and between senior management and NEDs, as well as facilitating orientation and assisting with professional development as required.
The Company Secretary should attend all board meetings.	✓	

Guidelines of the 2005 Code	Compliance	SGX Corporate Governance practices related to principle
6.4 The appointment and the removal of the Company Secretary should be a matter for the board as a whole.	✓	
6.5 The board should have a procedure for directors, either individually or as a group, in the furtherance of their duties, to take independent professional advice, if necessary, at the company's expense.	✓	

PRINCIPLE 7: Procedures for Developing Remuneration Policies
There should be a formal and transparent procedure for developing policy on executive remuneration and for fixing the remuneration packages of individual directors. No director should be involved in deciding his own remuneration.

Guidelines of the 2005 Code	Compliance	SGX Corporate Governance practices related to principle
7.1 The board should set up a remuneration committee ("RC") comprising entirely of NEDs, the majority of whom, including the chairman, should be independent, to minimise the risk of any potential conflict of interest.	✓	Mr Ng Kee Choe, an independent director, chairs the RC. Mr Ng has many years of experience in senior management positions in a leading Singapore commercial bank, including dealing with remuneration issues. He has also chaired or sat on the remuneration committees of other listed companies. All four RC members are independent non-executive directors. No RC member is involved in deliberations in respect of any remuneration, compensation, options or any form of benefits to be granted to him. All four directors are independent as defined under the SFR 2005.

Guidelines of the 2005 Code	Compliance	SGX Corporate Governance practices related to principle
7.2 The RC:- (a) Will recommend to the board a framework of remuneration, and the specific remuneration packages for each director and the CEO (or executive of equivalent rank) if the CEO is not a director. The RC's recommendations should be submitted for endorsement by the entire board. (b) Should cover all aspects of remuneration, including but not limited to director's fees, salaries, allowances, bonuses, options, and benefits-in-kind.	✓ ✓	The RC reviews matters concerning remuneration of the board, CEO and senior management. The RC approves the framework of remuneration for the entire organisation including the structuring of the long-term incentive plans. The RC also approves annual salary increment pool and variable bonus pool for distribution to employees of all grades. The RC chairman together with the NC, review and recommend to the board the specific remuneration packages for executive directors and the CEO upon recruitment. Subsequently, annual increments, variable bonus, performance share grants and other incentive awards, will be reviewed by the RC for recommendation to the board. The RC also reviews the remuneration of senior management annually. Our compensation philosophy and actual performance targets for the award of long-term incentives is set out in the Remuneration Report section of the Annual Report.
7.3 The RC should seek expert advice inside and/or outside the company on remuneration of all directors.	✓	The RC has access to appropriate advice from the Head of Human Resources, who attends all RC meetings.

PRINCIPLE 8: Level and Mix of Remuneration
The level of remuneration should be appropriate to attract, retain and motivate the directors needed to run the company successfully and a significant proportion of executive directors' remuneration should be structured so as to link rewards to corporate and individual performance.

Guidelines of the 2005 Code	Compliance	SGX Corporate Governance practices related to principle
8.1 The performance-related elements of remuneration should be designed to align interests of executive directors with those of shareholders and link rewards to corporate and individual performance.	✓	The RC administers the Performance Share Plan (PSP). Details of the PSP, including awards made thereunder and the performance conditions for the vesting of the awards are found in the Remuneration Report section of the Annual Report.

Guidelines of the 2005 Code	Compliance	SGX Corporate Governance practices related to principle
8.2 The remuneration of NEDs should be appropriate to the level of contribution, taking into account factors such as effort and time spent, and responsibilities of the directors and should not be over compensated.	✓	NEDs are remunerated under a framework of basic and attendance fees for serving on the board and board committees. The parameters for directors' fees are as follows: (a) Basic fee – \$40,000 per annum; (b) Attendance fee – \$1,200 per meeting; (c) Committee fees as follows:- (i) AC chairman – \$20,000; (ii) AC member – \$10,000; (iii) Other committee chairman – \$15,000; and (iv) Other committee member – \$8,000.
8.3 There should be a fixed appointment period, which is not excessively long, for all service contracts for executive directors and there are no onerous removal clauses or early termination clauses.	✓	CEO's contract stipulates a fixed term while Chairman's appointment is for as long as he remains director. Chairman is re-elected each year at the Annual General Meeting. Their service contracts do not contain onerous removal clauses or early termination clauses.
8.4 The RC should encourage long-term incentive schemes and review whether directors should be eligible to participate as well as the costs and benefits of the schemes.	✓	There is in place a long-term incentive scheme for executive directors and staff, which includes share options and performance shares. Please refer to the Remuneration Report for details.
Offer of shares or granting of options or other forms of deferred remuneration should vest over a period of time with vesting schedules, whereby only a portion of benefits can be exercised each year.	✓	Under the company's Share Option Plan, Participants can exercise their options to purchase Company's shares two years after grant. Under the company's Performance Share Plan, performance shares vest in accordance with a vesting schedule only if the performance targets are met.
Directors should be encouraged to hold their shares beyond the vesting period, subject to the need to finance any costs of acquisition and associated tax liability.	✓	Under the company's Performance Share Plan, Participants are required to retain 50% of shares released to them for at least one calendar year from vesting date.
8.5 The company should be aware of pay and employment conditions within the industry and in comparable companies when setting remuneration packages.	✓	The company's compensation is made up of four components – fixed pay, short-term incentives, long-term incentives and benefits. The fixed salary is pegged to the 50th percentile of the reference market in the Singapore banking and financial services.
8.6 Notice periods in service contracts should be set at a period of six months or less.	✓	All executive directors have in their service contracts notice periods of six months or less.

PRINCIPLE 9: Disclosure of Remuneration

The company should provide clear disclosure of its remuneration policy, level and mix of remuneration and the procedures for setting remuneration in the company's annual report to enable investors to understand the link between remuneration paid to directors and key executives, and performance.

Guidelines of the 2005 Code	Compliance	SGX Corporate Governance practices related to principle
9.1 The company should, as best practice, disclose in the annual report, the remuneration of each individual director and at least five top key executives (who are not directors) of the company.	✓	Please refer to the Remuneration Report section of the Annual Report for disclosure of the remuneration of the executive directors and the five top-earning executives.
9.2 The annual report should set out the names of directors and at least the top five key executives (who are not also directors) earning remuneration which falls within bands of \$250,000, with a breakdown (in percentage terms) of each director's remuneration earned through base/fixed salary, variable or performance-related income/ bonuses, benefits-in-kind, and stock options granted and other long-term incentives. Companies are encouraged, as best practice, to fully disclose the remuneration of each individual director.	✓	Our Remuneration Report sets out all the details of the remuneration of key executives and directors. Previously we disclosed the remuneration of the top key executives in bands of \$150,000. From this year, we are disclosing the remuneration of the five top-earning executives in actual figures, with a breakdown in terms of fixed pay, bonus, long-term incentive and benefits-in-kind.
9.3 The annual report should disclose, on a no-name basis with clear indication of which director or the CEO the employee is related to, remuneration details of employees who are immediate family members ⁴ of a director or the CEO whose remuneration exceeds \$150,000 during the year.	✓	Based on disclosures and checks conducted, none of the current employees/directors are related to each other.
9.4 The annual report should also contain details of employee share schemes to enable shareholders to assess the benefits and potential cost to the company.	✓	The details of employee share schemes are contained in the Directors' Report.
The important terms of the share schemes, including the potential size of grants, methodology of valuing stock options, exercise price of options that were granted as well as outstanding, whether the exercise price was at the market or otherwise on the date of grant, market price on the date of exercise, the vesting schedule, and the justifications for the terms adopted, should be disclosed.	✓	The details of employee share schemes are contained in the Directors' Report.

⁴ As defined in the Listing Manual of the Singapore Exchange to mean the spouse, child, adopted child, step-child, brother, sister and parent.

PRINCIPLE 10: Accountability

The board should present a balanced and understandable assessment of the company’s performance, position and prospects.

Guidelines of the 2005 Code	Compliance	SGX Corporate Governance practices related to principle
10.1 The board’s responsibility to provide a balanced and understandable assessment of the company’s performance, position and prospects extends to interim and other price sensitive public reports and reports to regulators (if required).	✓	The board provides shareholders with quarterly and annual financial reports. Results for the first three quarters are released to shareholders within 30 days of the end of the quarter. Annual results are released within 45 days of the financial year-end. In presenting our annual and quarterly financial statements to shareholders, the board aims to provide shareholders with a balanced and clear assessment of the company position and prospects.
10.2 Management should provide all members of the board with management accounts which present a balanced and understandable assessment of the company’s performance, position and prospects on a monthly basis.	✓	Management provides directors with a monthly financial management report which includes the management accounts, other financial statements and an analysis of the company’s performance. The report is submitted within 20 days of the month-end.

PRINCIPLE 11: Audit Committee

The board should establish an audit committee (“AC”) with written terms of reference which clearly set out its authority and duties.

Guidelines of the 2005 Code	Compliance	SGX Corporate Governance practices related to principle
11.1 The AC should comprise at least three directors, all non-executive, the majority of whom, including the chairman, should be independent.	✓	The AC is chaired by Mr Ho Tian Yee and comprises four members, all of whom are independent NEDs based on the Code’s criteria. In compliance with the requirements of the SFR 2005, at least three members of the AC are independent from management and business relationships, and a majority are independent directors as defined under the SFR 2005.
11.2 The board should ensure that the members of the AC are appropriately qualified to discharge their responsibilities. At least two members should have accounting or related financial management expertise or experience.	✓	The members of the AC, collectively, have expertise or experience in financial management and are qualified to discharge the AC’s responsibilities.

Guidelines of the 2005 Code	Compliance	SGX Corporate Governance practices related to principle
11.3 The AC should have explicit authority to investigate any matter within the terms of reference, full access to and co-operation by management and full discretion to invite any director or executive officer to attend AC meetings, and reasonable resources to enable to discharge the functions properly.	✓	The AC has explicit authority to investigate any matter within its terms of reference. It has full access to, and the co-operation of, management and full discretion to invite any director or senior manager to attend its meetings. The AC has adequate resources to enable it to discharge its responsibilities properly.
11.4 The duties of the AC should include:- (a) Review the scope and results of the audit and its cost effectiveness, and the independence and objectivity of the external auditors. Where the auditors also supply a substantial volume of non-audit services to the company, the AC should keep the nature and extent of such services under review, seeking to balance the maintenance of objectivity and value for money; (b) Review the significant financial reporting issues and judgements so as to ensure the integrity of the financial statements of the company and any formal announcements relating to the company’s financial performance;	✓ ✓	The AC reviews the scope and results of audit work carried out by external auditors, the cost effectiveness of the audit, and the independence and objectivity of the external auditors. The AC also undertakes regular reviews of the nature, extent and costs of non-audit services provided by the external auditors, seeking to balance the maintenance of objectivity of the external auditors and their ability to provide value-for-money services. The AC meets on a quarterly basis to review the quarterly and audited annual financial statements and related disclosures, integrity of financial reporting of the company including accounting principles. The AC approves, on behalf of the board, each of the first three quarterly financial statements and corresponding SGXNET announcements. The AC recommends to the board for approval, the annual financial results and related SGXNET announcements.
(c) Review the adequacy of the company’s internal controls;	✓	The AC reviews and assesses the adequacy and effectiveness of the company’s system of internal controls and management information systems through discussions with management, the Head of Internal Audit and the external auditor at its quarterly AC meetings.
(d) Review the effectiveness of the company’s internal audit functions;	✓	The AC considers and reviews with management and the Head of Internal Audit: - significant internal audit observations and management’s responses thereto; - any changes required in the planned scope of the Head of Internal Audit annual audit plans and any difficulties encountered in the course of the reviews, including any restrictions on the scope of Internal Audit’s work or access to required information; and - the Internal Audit’s budget and staffing.

Guidelines of the 2005 Code	Compliance	SGX Corporate Governance practices related to principle
(e) Make recommendations to the board on the appointment, re-appointment and removal of the external auditor and approve the remuneration and terms of engagement of the external auditor.	✓	The AC recommends to the board the appointment, reappointment and removal of the external auditors, and approves the remuneration and terms of engagement of the external auditors.
11.5 The AC should meet with the external auditors and the internal auditors, without the presence of the company's management, at least annually.	✓	At least once a year, the AC meets with the internal and external auditors without the presence of management to review any matter that might be raised privately.
11.6 The AC should review the independence of the external auditors annually.	✓	The AC has received the requisite information from the external auditors evidencing the latter's independence. It has also reviewed the volume and nature of non-audit services provided by the external auditors during the current financial year. Based on this information, the AC is satisfied that the financial, professional and business relationships between the company and the external auditors will not prejudice the independence and objectivity of the external auditors.
11.7 The AC should review arrangements by which staff of the company may, in confidence, raise concerns about possible improprieties in matters of financial reporting or other matters and ensure that arrangements are in place for the independent investigations of such matters and for appropriate follow-up action.	✓	We have in place a whistleblowing framework where staff of the company can access the Chairman, CEO, AC chairman, members of the EXCO, the Head of Internal Audit and the Head of Human Resources to raise concerns about improprieties. Contact details of these persons have been made available to all staff.
11.8 The board should disclose the names of AC members and the details of the AC's activities in the company's annual report.	✓	In the review of the financial statements for the year ended 30 June 2007, the AC discussed with management and the external auditors the accounting principles that were applied and their judgement of items that might affect the financial statements. Based on the review and discussions, the AC is of the view that the financial statements are fairly presented in conformity with the relevant Singapore accounting standards in all material aspects.

PRINCIPLE 12: Internal Controls

The board should ensure that the management maintains a sound system of internal controls to safeguard the shareholders' investments and the company's assets.

Guidelines of the 2005 Code	Compliance	SGX Corporate Governance practices related to principle
12.1 The AC should, with the assistance of internal and/or public accountants ⁵ , review the adequacy of the company's internal financial controls, operational and compliance controls and risk management policies and systems established by the management at least annually.	✓	Internal and external auditors conduct regular reviews of the system of internal controls and significant internal control weaknesses are brought to the attention of the AC and to senior management for remedial action. Additionally the Risk Management Committee ("RMC") would be notified of deficiencies in the risk management processes.
12.2 The board should comment on the adequacy of the internal controls, including financial, operational and compliance controls, and risk management systems in the company's annual report.	✓	The RMC reviews and approves the appropriate risk appetite for the company to achieve its business strategy. We have in place an enterprise-wide risk management framework to enhance its risk management capabilities. The key risks facing the company have been identified and action plans have been put in place to attempt to mitigate these risks. Risks have been identified at the process levels and controls have been put in place to mitigate these risks. Additional controls will be implemented where necessary. Awareness and ownership of risks and controls by the relevant business and support functions are continuously instilled. In accordance with the approved Internal Audit year plan, our Internal Audit (IA) will perform independent reviews of the risks and controls identified to provide reasonable assurance to management and the AC that the risks and controls have been adequately addressed.

⁵ Provided the public accountant is also the external auditor of the company.

PRINCIPLE 13: Internal Audit

The company should establish an internal audit function that is independent of the activities it audits.

Guidelines of the 2005 Code	Compliance	SGX Corporate Governance practices related to principle
13.1 The Internal Auditor's ("IA") primary line of reporting should be to the chairman of the AC although the IA would also report administratively to the CEO.	✓	IA is an independent function within the company which reports direct to the AC on audit matters, and to the CEO on administrative matters.
13.2 The IA should meet or exceed the standards set out by nationally or internationally recognised professional bodies including the Standards for the Professional Practice of Internal Auditing set by The Institute of Internal Auditors.	✓	Based on the review conducted by a qualified and independent external reviewer, IA meets all the 46 International Standards for the Professional Practice of Internal Auditing set by the Institute of Internal Auditors.
13.3 The AC should ensure that the internal audit function is adequately resourced and has appropriate standing within the company. For the avoidance of doubt, the internal audit function can either be in-house, outsourced to a reputable accounting/auditing firm or performed by a major shareholder, holding company, parent company or controlling enterprise with an internal audit staff.	✓	IA operates within the framework stated in its Internal Audit Charter which is approved by the AC. Its mission is to provide independent, objective assurance and consulting services designed to add value and improve our operations. It helps us achieve its objectives by bringing a systematic, disciplined approach to evaluate and improve the effectiveness of risk management, controls and governance processes. The AC is satisfied that IA has adequate resources to perform its functions, and has appropriate standing within the company.
13.4 The AC should, at least annually, ensure the adequacy of the internal audit function.	✓	IA plans its internal audit schedules annually in consultation with, but independent of, management and its plan is submitted to and approved by the AC.

PRINCIPLE 14: Communication with Shareholders

Companies should engage in regular, effective and fair communication with shareholders.

Guidelines of the 2005 Code	Compliance	SGX Corporate Governance practices related to principle
14.1 The company should regularly convey pertinent information, gather views or inputs, and address shareholders' concerns. Information should be descriptive, detailed and as forthcoming as possible and avoid boilerplate disclosures.	✓	We adopt the practice of regularly communicating major developments in our businesses and operations through SGXNET and where appropriate, also direct to shareholders, other investors, analysts, the media, the public and our employees. We also hold annual Investor Relations open days where shareholders are briefed on the performance prospects of the company and are given the chance to meet with SGX senior management.
14.2 The company should disclose information on a timely basis. Investors (retail and institutional) should be entitled to the same level of communication and disclosure. If information is inadvertently disclosed to one group, it should be made public as soon as possible.	✓	We issue announcements through SGXNET and news releases on an immediate basis where required under the Listing Manual. We do not practise selective disclosure of material information. Material information is excluded from briefings with investors or analysts, unless it has been publicly released either before, or concurrently with, such meetings. All materials on our quarterly financial results, and webcasts of our half-year and full-year results briefings for analysts and media, are available on our website. For details on our communication with shareholders, please refer to Investor Relations in the Operating and Financial Review section of the Annual Report.

PRINCIPLE 15: Greater Shareholder Participation

The company should encourage greater shareholder participation at AGMs, and allow shareholders the opportunity to communicate their views on various matters affecting the company.

Guidelines of the 2005 Code	Compliance	SGX Corporate Governance practices related to principle
15.1 Shareholders should have the opportunity to participate effectively and to vote at AGMs, whether in person or in absentia.	✓	Our Articles of Association allow a shareholder to appoint up to two proxies to attend and vote in his place at general meetings. Prior to each AGM, a shareholders' forum is made available on our website to facilitate communication between shareholders on matters that concern them. Our AGM procedures provide shareholders the opportunity to ask questions relating to each resolution tabled for approval.
The company is encouraged to make the appropriate provisions in the Articles of Association to allow for absentia voting methods such as by mail, email, fax, etc, if the shareholders so consent.	✓	
15.2 There should be separate resolutions at general meetings on each substantially separate issue.	✓	See the agenda items in the Notice of Annual General Meeting.
The company should avoid bundling resolutions unless the resolutions are interdependent and linked so as to form one significant proposal. Where resolutions are "bundled", the company should explain the reasons and material implications.	✓	All our resolutions at our general meetings are single item resolutions.
15.3 The chairpersons of the AC, NC and RC should be present and available to address questions at general meetings.	✓	The board and management are on hand at general meetings to address questions by shareholders.
The external auditors should also be present to address shareholders' queries about the conduct of audit and the preparation and content of the auditors' report.	✓	The external auditors are present to assist the board and address shareholders' queries.

Guidelines of the 2005 Code	Compliance	SGX Corporate Governance practices related to principle
15.4 The company is encouraged to amend the Articles of Association to avoid imposing a limit on the number of proxies for nominee companies so that shareholders who hold shares through nominees can attend AGMs as proxies.	✓	We do not have a specific limit in our Articles of Association on the number of proxy votes for nominee companies. However, there is a limit for the number of proxies for all shareholders to two. This is because we cannot create separate classes of rights for shareholders. Also, under current law, on a show of hands, only one vote is counted per shareholder. As and when the law allows for nominee companies to have more than one vote on a show of hands, SGX will increase the number of proxies for nominee companies to more than two.
15.5 The company is encouraged to prepare minutes or notes of general meetings, which include substantial comments or queries from shareholders and responses from the board and make the minutes or notes available to shareholders upon their request.	✓	All minutes of general meetings, and a summary of the questions and answers raised at general meetings are publicly available on our website. In our 2006 AGM/EGM we announced (at the meeting) the number of proxy votes for and against each resolution, after each vote by hand. In our May 2007 EGM, we went one step further by making an SGXNet announcement of proxy vote results, which we shall continue to do. Disclosure of results of proxy votes acknowledges the views of shareholders and enhances the quality of disclosure to shareholders.
The company is encouraged to adopt best practices set out in the Operating and Financial Review (OFR) Guide and disclose information when preparing the operating and financial review in the annual reports. This will be effective for all AGMs held on or after 1 January 2007.	✓	

16: Code on Share Dealing and Interested Person Transactions policy

This is not a requirement under the Code.

- 16.1 SGX has adopted internal codes which prohibit dealings in SGX's securities by directors and employees and their "connected persons" for a period of just over one month before the announcement of SGX's quarterly or half-yearly financial results. For year-end results, the period of prohibition is just over two months. Staff or their "connected persons" who want to trade securities of any company listed on SGX-ST must seek prior approval from management. The board and management believe that SGX has not only complied with the SGX-ST Best Practices Guide but with industry best practices.

Composition Requirements for Board and Board Committees and Compliance with Securities and Futures (Corporate Governance of Approved Exchanges, Designated Clearing Houses and Approved Holding Companies) Regulations 2005

No.	Board/Committee	SFR Reg No.	Composition Requirements				Are composition requirements currently fulfilled
			Independent from management and business relationships	Independent Directors*	Independent from any single substantial shareholder	Additional requirements	
1.	Board of Directors	6	Majority	One-third	Majority	N.A.	Yes
2.	Audit Committee	14	3 directors	Majority (including AC chairman)	N.A.	Must comprise at least 3 directors	Yes
3.	Nominating Committee	9	Majority	One-third	Majority	Must comprise at least 5 directors	Yes
4.	Remuneration Committee	13	Majority (including RC chairman)	One-third	Majority	Matters referred to in regulation 3(3)(c), (d) and (e) do not apply to at least 3 directors	Yes
5.	Risk Management Committee	7	N.A.	One-third	Majority	N.A.	Yes
6.	Conflicts Committee	15	3 directors	N.A.	Majority	Must comprise at least 3 directors	Yes

* independent from management and business relationships, and from any substantial shareholder

ASSESSMENT OF INDEPENDENCE OF INDIVIDUAL DIRECTORS

All references to Regulations are a reference to the regulations of the Securities and Futures (Corporate Governance of Approved Exchanges, Designated Clearing Houses and Approved Holding Companies) Regulations 2005 ("SFR 2005")

The SFR 2005 can be obtained from www.agc.gov.sg

No.	Name of Director	Independence status under SFR 2005	Independence status under Code of Corporate Governance 2005	Reg 3(1)(a)	Reg 3(1)(b)	Reg 4
				Independent from management relationship	Independent from business relationship	Independent from substantial shareholder
1.	J Y Pillay	Non-independent	Non-independent	Management	Management	Yes
2.	Hsieh Fu Hua	Non-independent	Non-independent	Management	Management	Yes
3.	Low Check Kian	Independent	Independent	Yes	Yes	Yes
4.	Chew Choon Seng	Independent	Independent	Yes	Yes	Yes
5.	Euleen Goh Yiu Kiang	Independent	Independent	Yes	Yes	Yes
6.	Ho Tian Yee	Independent	Independent	Yes	Yes	Yes
7.	Lee Hsien Yang	Independent	Independent	Yes	Yes	Yes
8.	Loh Boon Chye	Non-independent ¹	Independent	Yes	No	Yes
9.	Ng Kee Choe	Independent	Independent	Yes	Yes	Yes
10.	Olivia Lum Ooi Lin	Independent	Independent	Yes	Yes	Yes
11.	Robert Owen	Independent	Independent	Yes	Yes	Yes
12.	Tang Wee Loke	Non-independent ²	Independent	Yes	No	Yes

Notes:

¹ Loh Boon Chye is non-independent by virtue of Reg 3(1)(b) as he is employed by Deutsche Bank Group which wholly owns Deutsche Futures Singapore Pte Ltd., an SGX member firm.
² Tang Wee Loke is non-independent by virtue of Reg 3(1)(b) as he is employed by UOB Kay Hian Pte Ltd, an SGX member firm.

DIRECTORS’ MEETING ATTENDANCE REPORT

Name of Director	SGX Board		Audit Committee		Nominating Committee		Remuneration Committee		Risk Management Committee		Conflicts Committee	
	Number of meetings held	Number of meetings attended	Number of meetings held	Number of meetings attended	Number of meetings held	Number of meetings attended	Number of meetings held	Number of meetings attended	Number of meetings held	Number of meetings attended	Number of meetings held	Number of meetings attended
J Y Pillay	7	6	4	3 *	3	3	2	2 *	4	3 *,1	2	2 *
Hsieh Fu Hua	7	7	4	4 *	3	3 *	2	2 *	4	4 *,1	2	2 *
Low Check Kian	7	3	–	–	3	3	2	2	–	–	2	1
Chew Choon Seng	7	7	–	–	–	–	2	2	–	–	–	–
Euleen Goh Yiu Kiang ²	7	6	–	–	–	–	–	–	4	2	2	2
Ho Tian Yee	7	7	4	4	3	3	–	–	4	3	–	–
Lee Hsien Yang	7	7	4	4	3	1 ³	–	–	–	–	–	–
Loh Boon Chye	7	4	4	4	3	3	–	–	4	4	–	–
Olivia Lum Ooi Lin	7	1	4	4	3	1 ³	2	2	–	–	2	1
Ng Kee Choe	7	7	–	–	3	3	2	2	4	4	–	–
Robert Owen	7	3	–	–	3	1 ³	–	–	4	3	2	2
Tang Wee Loke	7	7	4	1 ⁴	–	–	–	–	4	3 ⁴	–	–
Mr Geoffrey Wong Ee Kay ⁵	7	0	4	1	–	–	2	1	–	–	–	–

Notes:
* By invitation
¹ Resigned from Risk Management Committee on 29 September 2006
² Appointed to the SGX Board, Conflicts and Risk Management Committee on 29 September 2006
³ Attended Nominating Committee meeting in May 2007 by invitation
⁴ Resigned from the Audit Committee and appointed to the Risk Management Committee on 29 September 2006
⁵ Resigned from the SGX Board, Audit and Remuneration Committee on 29 September 2006

REMUNERATION REPORT

The function of the Remuneration Committee (the Committee) is to consider and determine, within its terms of reference, all matters concerning the remuneration programme for directors and senior management. The Committee comprises the following independent directors:

Ng Kee Choe (Chairman)
Chew Choon Seng
Low Check Kian
Olivia Lum Ooi Lin

COMPENSATION PHILOSOPHY

SGX adopts a pay-for-performance compensation philosophy that is built upon organisational and individual performances. For this purpose, both external and internal equity are important in developing, administering and maintaining the reward programmes.

COMPENSATION MIX

Our compensation framework is made up of four key components:

- Fixed pay;
- Benefits;
- Short-term incentives; and
- Long-term incentives.

Fixed pay

Fixed pay comprises a base salary, annual wage supplement (for non-executives only) and fixed allowances. Our guaranteed base is pegged to the 50th percentile of the reference market, in the Singapore banking and financial services industry.

Benefits

Benefits provided for employees are comparable with local market practices. These include medical, dental, club membership and group insurances.

Short-term incentives

Short-term incentives take the form of an annual variable cash bonus. The variable bonus pool comprises two components:

- (i) a budgeted portion; and
- (ii) a funded portion calculated using the formula:
A percentage of [net profit before tax – (weighted average cost of capital) x (total shareholders’ funds)]

The allocation of the variable bonus is based on the individual performance of employees and their contribution towards the achievement of SGX’s performance. The Committee reviews and approves the variable bonus pool to be awarded.

Long-term incentives

Following the adoption of the SGX Performance Share Plan (the Plan) at the Extraordinary General Meeting on 22 September 2005 (EGM 2005), the Committee terminated the SGX Share Option Plan (the Scheme) with respect to the grant of further options. However, options granted and outstanding prior to termination will continue to be valid and subject to the terms and conditions of the Scheme. The Plan rewards the senior management team in SGX.

High-performing and high-potential mid-level executives who are not eligible for the Plan will be eligible for the Deferred Long-Term Incentives scheme based on individual and company performance. These incentives serve to enhance SGX’s overall compensation package and strengthens the company’s ability to reward and retain employees.

The SGX Performance Share Plan

The Plan is a share-based incentive scheme administered by the Committee.

It was established with the objective of rewarding, motivating, and retaining key senior executives to achieve superior performance. Through the Plan, SGX will be able to recognise and reward past contributions and services, and motivate participants to continue to strive for SGX’s long-term prosperity.

The Committee may decide to make an award under the Plan either in the form of shares or in cash (based on the market value of shares on vesting date) or a combination of both.

Restrictions

The total number of new SGX shares which may be issued pursuant to awards granted under the Plan on any date, when added to the total number of new shares issued and issuable in respect of all awards granted under the Plan, and all options granted under the Scheme, shall not exceed 10% of SGX’s issued shares on the day preceding the relevant date of award.

Participants are required to retain 50% of the total number of shares that are released to them for at least one calendar year from the vesting date. Failure to comply with this requirement may result in disqualification from further participation in the Plan and other share-based incentive plans SGX may operate.

Eligibility

Selected senior management employees who have attained the rank of Vice President, job grade 2 and above are eligible to participate in the Plan.

Performance Share Plans for FY2006 and FY2007

The Committee has approved the Performance Share Plans for FY2006 and FY2007, and has absolute discretion in the granting of performance shares. Details are as follows:

Financial Year (FY) 2006 Grant

The number of SGX shares to be awarded to each Participant will be based on the achievement of Return on Equity as the performance target over a two-year period from 1 July 2005 to 30 June 2007.

ROE (Weight = 100%)	
Average over 2FYs (%)	Payout % (% base allocation)
At > 35%	150%
Above Target: > 25% up to 35%	Additional 5% payout for each incremental ROE of 1%
At Target: 25%	100%
Below Target: < 25%	Nil

Under the FY2006 grant, 50% of the performance shares vested on 30 June 2007 and the balance 50% (comprising 1,252,500 shares), will vest on 30 June 2008. Shares purchased from the open market will be used to fulfil the obligations under the grant.

Below are details of the shares granted to Participants of the FY2006 grant:

Participants (as defined under the Plan)	Balance as at 01.07.2006	Shares granted/ adjusted during the financial year ¹	Shares lapsed during financial year	Shares vested during financial year ⁴	Balance as at 30.06.2007
Directors’ Interests					
Hsieh Fu Hua ²	440,000	220,000	–	(330,000)	330,000
EXCO members					
Gan Seow Ann ²	160,000	80,000	–	(120,000)	120,000
Seck Wai Kwong ²	160,000	80,000	–	(120,000)	120,000
Linus Koh Kia Meng ²	120,000	60,000	–	(90,000)	90,000
Yeo Lian Sim ²	120,000	60,000	–	(90,000)	90,000
Daniel Tan Bak Hiang ²	100,000	50,000	–	(75,000)	75,000
Chew Hong Gian	85,000	42,500	–	(63,750)	63,750
Robert W van Zwieten ³	35,000	8,750	(17,500)	(26,250)	–
Other staff	530,000	242,500	(45,000)	(363,750)	363,750
	1,750,000	843,750	(62,500)	(1,278,750)	1,252,500

¹ The number of shares awarded during the financial year represents an additional 50% payout as a result of achievement of the pre-set performance target over the performance period.
² Received more than 5% of the total FY2006 grant available.
³ Only 50% of the FY2006 grant was awarded to Robert W van Zwieten as his last day of service with the Company was 30 June 2007.
⁴ Performance shares vested on 30 June 2007 will be distributed after 30 June 2007.

Financial Year (FY) 2007 Grant

The FY2007 grant will vest upon achievement of the following measures over a three-year performance period commencing 1 July 2006 to 30 June 2009:

- (i) Average Return on Equity (ROE);
- (ii) SGX Total Shareholder Return (TSR) against Straits Times Index (STI) TSR; and
- (iii) Absolute Total Shareholder Return.

ROE (Weight = 50%)		+	SGX TSR against STI TSR (Weight = 25%)		+	Absolute TSR (Weight = 25%)	
Average over 3FYs (%)	Payout % (% base allocation)		Average spread over 3FYs (%)	Payout % (% base allocation)		Average over 3FYs (%)	Payout % (% base allocation)
Above Target: ≥35%	150%		Above Target: ≥10.0%	150%		Above Target: ≥COE* +9%	150%
Target: 30%	100%		Target: 6.5%	100%		Target: COE* +6%	100%
Threshold: 25%	50%		Threshold: 3.0%	50%		Threshold: COE* +3%	50%
Below Threshold: <25%	Nil		Below Threshold: <3.0%	Nil		Below Threshold: <COE* +3%	Nil

* COE represents cost of equity.

For an achievement between the Threshold and Above Target performance levels, the payout % will be prorated on a straight-line basis.

The performance shares will vest on 2 November 2009. Below are details of the shares granted to the Participants:

Participants (as defined under the Plan)	Shares granted during financial year ¹	Shares lapsed during financial year	Shares vested during financial year	Balance as at 30.06.2007
Directors’ Interests				
Hsieh Fu Hua ²	415,000	–	–	415,000
EXCO members				
Gan Seow Ann ²	155,000	–	–	155,000
Seck Wai Kwong ²	155,000	–	–	155,000
Linus Koh Kia Meng ²	100,000	–	–	100,000
Yeo Lian Sim ²	100,000	–	–	100,000
Daniel Tan Bak Hiang	80,000	–	–	80,000
Chew Hong Gian	80,000	–	–	80,000
Other staff				
	575,000	(25,000)	–	550,000
	1,660,000	(25,000)	–	1,635,000

¹ The number of shares represents the shares required if Participants are awarded at 100% of the grant. However, the shares awarded on the vesting date could range from 50% to 150%, depending on the level of achievement against the performance targets. There shall be no award if the achievement falls below the threshold performance level.

² Received more than 5% of the total FY2007 grant available.

DISCLOSURE ON DIRECTORS’ REMUNERATION

The following table shows the gross remuneration of the two executive directors and 11 non-executive directors of SGX for FY2007.

Executive Directors	Fixed pay \$	Bonus \$	Long-term incentive ¹ \$	Benefits-in-kind \$	Total gross remuneration \$
J Y Pillay	543,808	1,600,000	–	69,234	2,213,042
Hsieh Fu Hua	754,952	4,500,000	1,054,020	71,413	6,380,385

¹ First partial vesting of the Performance Share Plan for FY2006 based on fair value on the grant date. The performance shares will be distributed after 30 June 2007.

Non-Executive Directors	Directors’ fees \$
Low Check Kian	81,800
Chew Choon Seng	58,800
Euleen Goh Yiu Kiang	54,000
Ho Tian Yee	96,400
Lee Hsien Yang	64,400
Loh Boon Chye	91,000
Ng Kee Choe	76,800
Olivia Lum Ooi Lin	90,200
Robert Owen	73,800
Tang Wee Loke	63,700
Geoffrey Wong Ee Kay	16,900

DISCLOSURE ON FIVE TOP-EARNING EXECUTIVES’ REMUNERATION

We have decided to change the format of declaration of gross remuneration received by our senior management. Previously, the entire EXCO remuneration was reported in bands of \$150,000. With effect from the financial year ended 30 June 2007, we will disclose the actual amount of gross remuneration for our five top-earning executives.

The following table shows the gross remuneration of the five top-earning executives for the financial year ended 30 June 2007.

Name of executives	Fixed pay \$	Bonus for FY2007 ¹ \$	Long-term incentive ² \$	Benefits-in-kind \$	Total gross remuneration \$
Gan Seow Ann	410,185	1,300,000	383,280	2,064	2,095,529
Seck Wai Kwong	407,231	1,200,000	383,280	3,969	1,994,480
Yeo Lian Sim	404,948	900,000	287,460	2,064	1,594,472
Linus Koh Kia Meng	407,705	700,000	287,460	3,717	1,398,882
Daniel Tan Bak Hiang	348,287	650,000	239,550	1,560	1,239,397

¹ Previously, the bonuses disclosed were based on actual payments made in the financial year relating to the performance of the preceding year. From this year, bonuses will be disclosed for performance in the financial year as indicated.

² First partial vesting of the Performance Share Plan for FY2006 based on fair value on the grant date. The performance shares will be distributed after 30 June 2007.

OUR STRONG OPERATIONS

Our strong growth is made possible by strong operations. From product diversification and development, to technology management and alliances, the SGX team keeps your Asian Gateway working and growing.

OPERATING AND FINANCIAL REVIEW

Just as Singapore has grown by serving as a destination and gateway for global investments in the region, SGX is rapidly growing through our role as your Asian Gateway.

OVERVIEW

SGX owns and operates the only integrated securities and derivatives exchange in Singapore, together with related clearing houses and a central depository. Under our vertically integrated structure, we provide a platform for local and foreign companies to raise capital, act as a regional centre for managing risk through our suite of Asian derivatives products, and offer clearing, settlement and depository services. Managing the entire value chain – from trading to depository – enables us to provide end-to-end services and enhances our revenue streams.

We serve a wide array of investors, including many of the world’s largest financial institutions and are among the most innovative exchanges in technological and new product development. SGX was named Exchange of the Year, Asia 2007, at the Energy Risk Awards, and The Business Times Corporate Transparency Index also continued to rank SGX among Singapore’s top 20 companies.

By establishing alliances and partnerships with other exchanges and introducing new products to meet the changing needs of the international and domestic financial communities, SGX is definitively your Asian Gateway.

COMPETITIVE LANDSCAPE

In the last 12 months, consolidation and alliances among exchanges continued to gain momentum. The merger and acquisition landscape is seen transitioning from national to cross-border and global consolidations. Exchanges are exploring opportunities to extend their product offerings and distribution, achieve scale and deepen liquidity in response to increased competition, both among exchanges and over-the-counter. The migration towards full electronic trading and changes in the regulatory frameworks in Europe and the United States also act as catalysts to the process.

In Asia, merger and acquisition activities were limited to consolidation of national exchanges as well as capital alliances in the form of strategic equity participation. There have also been active discussions on various products and services collaboration as Asian exchanges seek to compete in an increasingly globalised marketplace while maintaining their national identities.

Fuelled by strong growth of the Asian economies and the implementation of financial reforms in China, the surge in capital raising activities around the region has presented great opportunities for Asian exchanges to expand their securities markets. The increased sophistication of retail investors in Asia has also led to the growing proliferation of emerging asset and product classes such as REITs, business trust structures, ETFs and structured warrants.

CORPORATE STRATEGY

Building SGX as an enduring marketplace (Fig 1) in Asia continues to underscore our strategic direction. We are committed to serve our customers and deliver growing returns to our shareholders through three key strategic objectives:

- Strengthening our Asian Gateway proposition;
- Growing our Domestic Market; and
- Delivery Excellence.

Developing and sustaining our position as an Asian Gateway is a major thrust of our

strategy as we seek to strengthen our competitive edge, both as an Asian listings platform and a risk management centre. The push for domestic growth has gained momentum with concerted investor education programmes and new product offerings targeted at the retail market. The more intense competitive environment has also compelled a sharper focus on delivery excellence as we exploit operational and technological efficiencies to develop a post-trade processing hub offering a comprehensive suite of back-office processing capabilities for market participants.

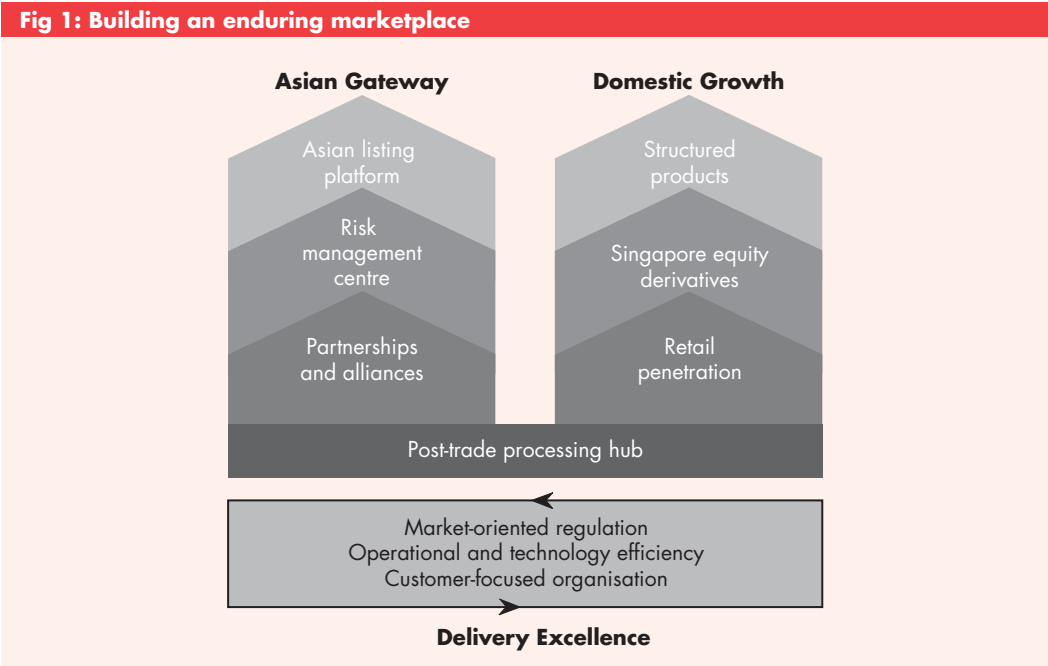
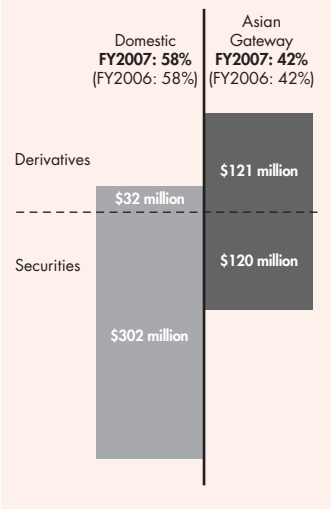


Fig 2: Asian Gateway revenue*



* internal estimates

YOUR ASIAN GATEWAY

SGX is increasingly recognised as an Asian financial gateway. Our comprehensive suite of Asian-based derivatives and securities products offers international market players convenient access to the dynamic fast-growing Asian markets, and also enables our customers in Asia to gain exposure to the global market.

Foreign listings and offshore derivatives contributed 42% to our operating revenue. This demonstrates the success of our Asian Gateway strategy (Fig 2).

The Asian Gateway is supported by three main pillars:

- Developing an Asian platform for growth companies seeking an international listing venue for their capital-raising needs, as well as for financial institutions to list structured products;

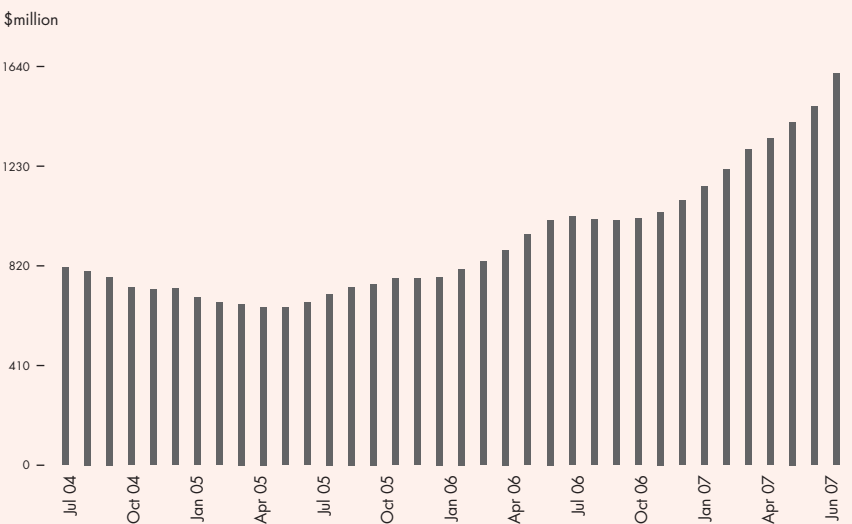
- Providing a centre for customers to manage their risk and trading needs in the Asian time zone; and
- Forging strategic partnerships and alliances to achieve greater synergies and efficiencies. This enables us to deliver a broader array of products and services with a shorter time-to-market.

An Asian listings platform

Riding on the strength and growth of the regional economies, our securities markets saw significant growth with higher turnover velocity of 65% (FY2006: 58%).

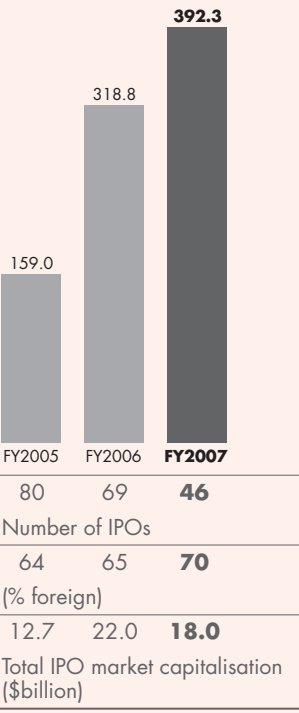
The Straits Times Index (STI) closed at 3,548 on 29 June 2007. This was 18.8% above the previous year. A total of 425.7 billion shares were traded in FY2007 (FY2006: 224.9 billion) with a daily average trading value of \$1.60 billion, a 56.9% increase from \$1.02 billion in FY2006 (Fig 3).

Fig 3: Securities daily average trading value*



* based on a moving 12-month average

Fig 4: Average IPO market capitalisation (\$million)

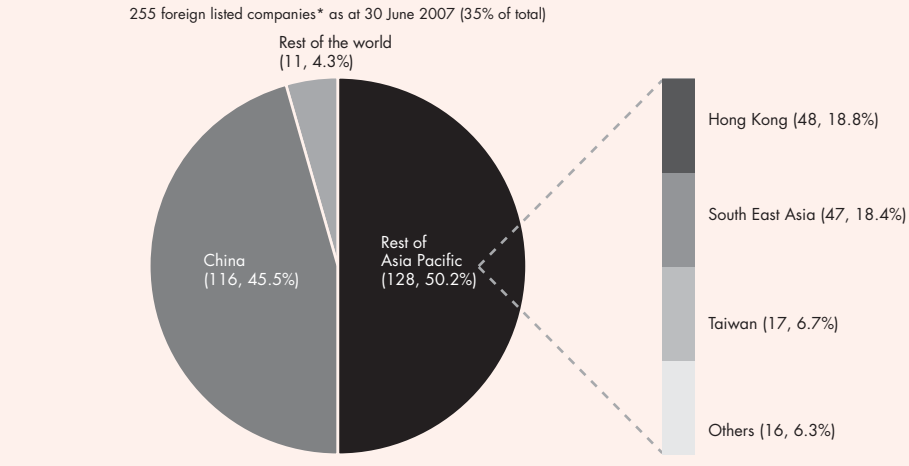


80	69	46
Number of IPOs		
64	65	70
(% foreign)		
12.7	22.0	18.0
Total IPO market capitalisation (\$billion)		

As at 29 June 2007, the total number of listed companies on SGX stood at 722 with a total market capitalisation of \$773.3 billion, up 65.9% from the previous financial year (FY2006: \$466.1 billion). A total of 120 listed companies had a market capitalisation of above \$1.0 billion each, as compared to 79 a year ago.

This year saw 50 new listings¹ on SGX, worth a total of \$21.9 billion in market capitalisation. The average market capitalisation of these companies² continued to grow, from \$382 million in FY2006 to \$446 million in FY2007. Foreign companies contributed 70% of Initial Public Offerings (IPOs) in FY2007, up from 65% the previous year (Fig 4). This is in line with our strategic efforts to attract more foreign companies.

Fig 5: Asian listings platform



* excludes inactive secondary listings

¹ includes Initial Public Offerings and Reverse Takeovers
² excludes 1 GDR listing

As of 30 June 2007, a total of 116 or 16% of companies listed on SGX were from China, accounting for market capitalisation of \$63 billion, as compared with \$26 billion in FY2006.

The MOUs we have signed with the provincial and municipal authorities in China are reaping results. Of the 16 Chinese IPOs on SGX in FY2007, six came from provinces with whom we have MOUs. These six listings raised \$1.6 billion and contributed \$5.0 billion or 27.8% of the total IPO market capitalisation.

Capitalising on sectoral strengths

Singapore's tax-friendly and supportive regulatory framework continued to spur development of the REITs sector.

In FY2007, this sector continued to attract listings from different sectors with cross-border assets. Six REITs listed on SGX during the year brought the total market capitalisation of the sector to \$29.2 billion. They include CapitaRetail China Trust, the world's largest China REIT and First REIT (sponsored by Lippo Group), the world's first REIT in the Indonesian healthcare sector and SGX's first-ever healthcare REIT. CDL Hospitality REIT also launched the first hotel REIT listed on SGX. Looking ahead, we anticipate more REIT listings from new regions such as India, Japan, Malaysia and Indonesia.

In addition, FY2007 saw the first Infrastructure Business Trust listing on SGX, CitySpring Infrastructure Trust (sponsored by Temasek Holdings) with an initial market capitalisation of \$400.5 million. A promising sector,

Infrastructure Trusts bring a new asset class to investors. As more sponsors tap on the advantages of a Business Trust to distribute cash flows, we expect to see more such listings holding Singapore and cross-border infrastructure assets.

SGX also continued to benefit from Singapore's status as a trans-shipment hub, with four marine and offshore marine listings in FY2007. Of these, two from Europe (Rickmers and FSL) were listed as Shipping Business Trusts holding container ships, tankers and bulk carriers. This suggests that the Business Trust structure is understood and accepted by the marketplace for its strengths in distributing cash flows.

The other marine listings were Yangzijiang, one of China's largest shipbuilders, which has performed strongly since listing in April 2007, and PT Berlian, a tanker company listed in Jakarta. The latter sought an overseas listing in Singapore to enhance its international profile and broaden shareholder base. We see a strong pipeline of marine and offshore marine listings from various geographical regions looking to capitalise on our strength and understanding of the sector.

Exchange Traded Funds

SGX added another eight ETFs to its product suite in FY2007, comprising six regional equity funds and two commodity funds.

With these, SGX now covers the burgeoning major regional markets such as China, India, Taiwan, Hong Kong, Korea and Singapore. Coverage will soon expand to include other countries in the region, as well as sector-based and themed ETFs.

With the five US cross-listed ETFs whose primary listings are on American Stock Exchange (AMEX) and New York Stock Exchange (NYSE), the total number of ETFs available on SGX now stands at 16. Total value traded grew from US\$40 million in FY2006 to US\$518 million in FY2007, indicating the growing interest and traction in ETFs. The most popular ETF remains the iShares MSCI India ETF, which is traded by both institutional and retail participants. In FY2007, a total of US\$318 million in value was traded.

Global Depository Receipts (GDRs)

The first GDR, Uttam Galva Steels from India, was listed on SGX in April 2007. We expect to see more GDR listings from India and North Asia.

Transforming SESDAQ

On 23 May 2007, SGX proposed two separate sets of rules to enhance the quality of offerings on our Mainboard and SESDAQ. These changes aim to promote investor confidence and attract more quality issuers and intermediaries, enabling us to advance our Asian Gateway position, with clearly differentiated markets.

For the Mainboard, we recommended setting up a watch-list of underperforming companies to keep investors informed of their status. Through this, we hope to galvanise such companies into improving their business and financial performance.

More in-depth improvements were recommended for SESDAQ. Established in 1987, SESDAQ has largely fulfilled its purpose of meeting the fundraising needs of

local small and medium enterprises. In a recent market study, our survey of market participants' requirements and review of other market models led us to conclude that SESDAQ must improve its offering in order to achieve further long-term growth.

In view of this, SGX proposed a new, sponsor-supervised regime for SESDAQ, with a shorter time-to-market and greater flexibility for secondary fund raising and corporate actions. Key safeguards would remain, for the alignment of management and shareholders' interests as well as corporate governance. The changes would help transform SESDAQ into a board for both local and foreign growth companies with a scalable model. To facilitate the transition, existing SESDAQ companies will be given at least two years to embrace the new regulatory regime.

Review of Listing Manual

As part of our ongoing efforts to keep listing rules relevant and in tandem with the growth and development of the marketplace, SGX conducted a consultation exercise in May 2007 on proposed amendments to the Listing Manual to improve transparency and market efficiency. These included proposals to allow continuous trading of cash companies, to shorten the minimum duration of trading halts to 30 minutes and to require immediate announcements of details of grants of employee share options to prevent back-dating of options.

The review underscores SGX's commitment to operate a market-oriented, transparent and well-regulated marketplace.

Improving research coverage

Our pioneering SGX-MAS Research Incentive scheme, launched in December 2003, aims to raise the profile of listed companies in Singapore through greater research coverage. As at 30 June 2007, there were 155 listed companies participating in the scheme. The scheme continues to attract more than 55,000 downloads of research reports per month.

Risk management centre

Derivatives market trading volumes for FY2007 rose 10.2% over the previous financial year. Our flagship products – the Nikkei 225, MSCI Taiwan and MSCI Singapore futures contracts – continued to register impressive growth, setting new volume and open interest records. Our indigenous MSCI Singapore futures also chalked up strong growth of 48.9% (Fig 6).

By October 2006, the SGX derivatives market had completed the migration from open outcry to electronic trading, a move which had begun two years earlier. We have since implemented a series of further enhancements to our market, in order to facilitate trading and risk management opportunities. These include the introduction of new matching algorithms, complex strategies and implied-out spreading to our Euroyen market. In December 2006, we also introduced extended trading hours for our derivatives products, to let market participants better manage their trading positions and capitalise on market opportunities that might occur during European or US trading hours.

SGX and the Chicago Mercantile Exchange (CME) renewed our landmark Mutual Offset System agreement for another three years from February 2007 to 2010. The Mutual

Offset System gives market participants the benefits of real-time clearing and inter-exchange transfer services, allowing market participants to execute their risk management programmes in an effective and timely manner. The agreement was first signed in 1984, and this extension underlines the importance of the Mutual Offset System to both exchanges and to the global derivatives marketplace.

In FY2007, the structured warrants market recorded a 49.3% growth in turnover value to \$18.8 billion, as compared to \$12.6 billion in FY2006. The number of new structured warrants listings rose 62.2% from 806 to 1,307 year-on-year. Structured warrants on regional indices and IPOs were particularly well-received by the market.

Diversifying products

To meet the different risk and investment needs of our customers, SGX remains committed to developing a diversified suite of products.

Riding on keen interest in the Japanese market, we introduced a US dollar-denominated Nikkei 225 futures contract, allowing investors more trading and arbitraging opportunities between our Yen and US dollar-based Nikkei 225 futures contracts. We also re-launched our Euroyen options with enhanced specifications during the year. We are also exploring the introduction of a suite of mini contracts to encourage overseas and local retail participation.

On 23 September 2006, we launched the SGX FTSE Xinhua China A50 index futures.

This is the first internationally available futures contract based on the largest 50 China “A” share stocks by market capitalisation.

In June 2007, SGX became the first exchange in Asia to list Certificates, when two issuers launched the Participation Certificates and Daily Lock-In Certificates, respectively. We have established a working relationship with five issue managers and are in the process of increasing this number.

Extending distribution

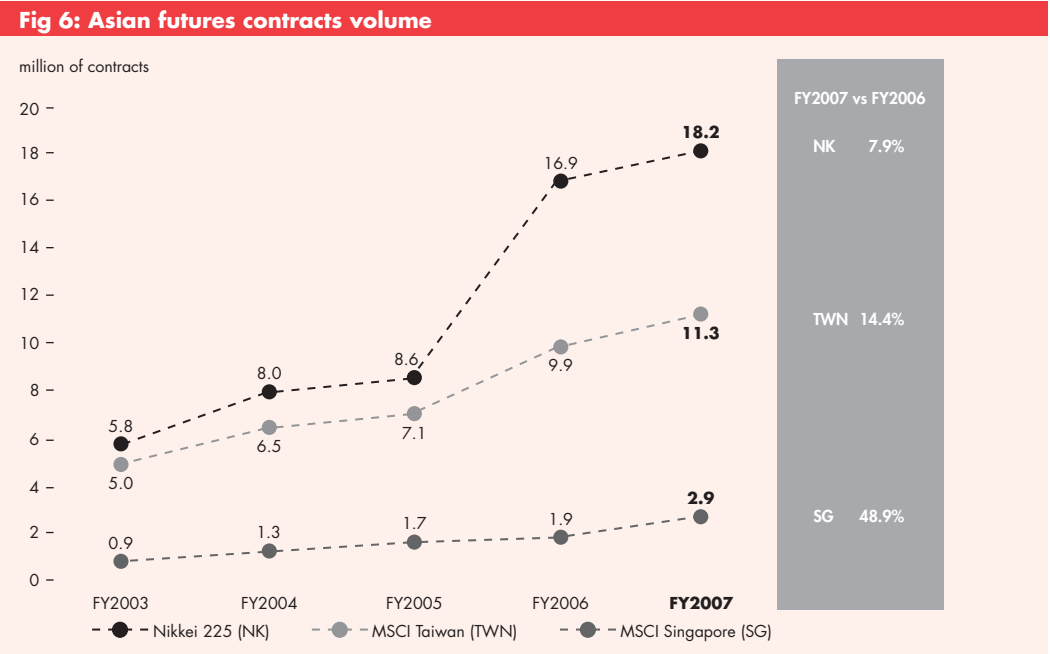
SGX already has a firm foothold amongst institutional traders globally. We now intend to extend our client base to include retail and online investors in the region as well. With a comprehensive suite of Asian products on a single platform, SGX aims to appeal to this customer segment by providing an attractive alternative market, offering both trading convenience and cost efficiency.

Strategic alliances

SGX continues to forge strategic alliances with overseas exchanges to strengthen our position as an Asian Gateway.

In FY2007, we signed Memoranda of Understanding (MOUs) with Korea Exchange, Abu Dhabi Securities Market, the Ho Chi Minh City Securities Trading Center and Hanoi Securities Trading Center.

SGX acquired a 5% stake in Bombay Stock Exchange (BSE) in May 2007 for US\$42.7 million. We will collaborate with BSE in areas relating to listings and product development, leveraging on SGX’s leading position as a regional hub for derivatives and international listings, and BSE’s strong presence in India.



On 15 June 2007, the Tokyo Stock Exchange (TSE) announced their purchase of a 4.99% stake in SGX, effectively endorsing our role as an Asian Gateway. TSE plans to seek approval from the Monetary Authority of Singapore to increase its stake to 5% to become a substantial shareholder in SGX. Together, SGX and TSE will study ways to collaborate, including establishing a derivatives trading and clearing link, with the initial focus on Japanese government bonds and TOPIX products.

GROWING OUR DOMESTIC MARKET

While SGX builds on its status as an Asian Gateway, our domestic market continues to be an important contributor to our revenue. Buoyed by bullish market conditions, retail participation in Singapore was more active in FY2007 than in the previous year. A total of 38,588 new direct individual and joint accounts were opened with the Central Depository (CDP) during the year, compared to 25,337 in FY2006. At the same time, the base of active¹ retail investors averaged 191,890 compared to 158,896 the year before.

To further bolster growth in this area, SGX has adopted a three-pronged strategy:

- to continually expand product offerings which appeal to retail investors;
- to empower individuals with knowledge of the markets; and
- to attract new securities and derivatives customers.

Product expansion and meeting market needs

The roll-out of new products is key to strengthening SGX's position as a wealth management platform in the minds of retail investors. In FY2007, we listed eight new ETFs ranging from indices to commodities. We also launched Certificates, a new product class which allows investors to invest in a yield-enhancement product whose performance is tied to the underlying shares. In addition, investors seeking yield investments could choose from 16 REITs listed on SGX.

Empowering investors

In FY2007, we organised a broad range of educational programmes, including general investment courses and product seminars for investors of all levels. For example, in order to increase investor awareness and educate retail participants on the advantages of ETFs, SGX embarked on a wide-ranging ETF campaign. This included lunch-time broker sessions, seminars, radio shows, advertisements, and an online index contest.

A total of 16 courses and 75 seminars (including 21 on ETFs, 20 on structured warrants and four on Certificates) were attended by more than 9,550 investors.

In addition to face-to-face classes, SGX employed other modes of investor education during the course of the year, such as online webcasts, e-learning programmes, articles in local dailies, and the quarterly CDP newsletter, *SGXchange*.

The SGX Call Centre, which was launched in November 2005, continues to be an important two-way communication platform for retail investors. We received over 12,485 calls via the toll-free number 1800-CALL-SGX in FY2007.

¹ Active retail investors/CDP account holders are those who have made at least one stock transaction in the preceding three months

Attracting new customers

To acquaint new investors with the stock market, we collaborated with retail brokers and business partners to launch our first online trading game, SGX StockWhiz. Between August and October 2006, over 9,400 investors participated in this risk-free challenge, using virtual cash to trade in shares. We are also making efforts to engage younger retail investors. In December 2006, we organised the first-ever 'Ministry of SGX' event at the Ministry of Sound. The programme, which included an investment quiz modelled after a television quiz show, combined fun and finance to engage the younger retail investors.

At the same time, SGX is consciously cultivating the next generation of investors. SGX already has a history of supporting the investment clubs run by students at the three local universities. In May 2007, we also worked with MoneySENSE – the national financial education programme – to introduce the SGX Inter-School StockWhiz Challenge. With the aid of online investment tools, students from selected secondary schools in Singapore learned the basics of stock investments and managing investment portfolios.

DELIVERY EXCELLENCE

SGX's focus on delivery excellence has become increasingly vital as global competition among exchanges intensifies. We maintain our customer focus, market-oriented regulation, and our operational and technological efficiency. By developing a strong post-trade processing hub, effectively managing our dual roles, and honing our technological advantage, we enhance our Asian Gateway status and build an enduring marketplace.

A post-trade processing hub

SGX is strengthening its position as a post-trade processing hub, providing a comprehensive range of clearing, settlement and depository services which leverage on SGX's processing capabilities. Through our clearing business, we are better able to maintain market integrity by managing financial exposure, and to guarantee performance of trading obligations, while our settlement and depository business allows us to provide centralised custodial settlement, payment and corporate actions processing services.

SGX AsiaClear®

SGX AsiaClear®, our OTC clearing business and facility, has secured over 120 counterparty accounts within its first year of inception. Our intensive marketing efforts in Asia have resulted in a growing pool of Asia-based counterparties using the SGX AsiaClear® facility. This has also attracted rising interest from the European players to trade and clear on SGX AsiaClear®. Through this credit mitigation facility, we have lowered the barriers for many Asian OTC oil and freight derivatives market participants to trade with an expanded pool of counterparties.

SGX AsiaClear® has also been gaining good traction in its activities with US\$1.2 billion in value of trades cleared in its first year. Four new products, including the unique Balance-of-Month Fuel Oil and Balance-of-Month Gasoil contracts, were added to our product suite in response to market feedback. Going forward, we are planning to augment our suite of 22 products to cater to the diverse and changing needs of the industry. Attesting to our value-added role in the OTC oil and freight derivatives market, SGX was named the Exchange of the Year at the Energy Risk Awards, Asia 2007.

JADE

SGX and the Chicago Board of Trade (CBOT) launched JADE (Joint Asian Derivatives Exchange) – an Asian commodity derivatives market. JADE was formed in response to demand from international players for a more accessible and consolidated platform to participate in Asia's booming but fragmented commodities markets. It leverages on the infrastructure of SGX's derivatives clearing house and the distribution of e-CBOT electronic trading platform. JADE launched the first TSR 20 Rubber futures contract, on 25 September 2006, and subsequently launched the world's first US dollar-denominated crude palm oil futures contract on 6 June 2007.

SGX Prime

SGX Prime is scheduled for launch in the third quarter of FY2008. It will provide greater operational efficiency to market participants by allowing open access to SGX post-trade systems and introducing the pre-settlement matching service to streamline securities settlement. Using internationally accepted ISO15022 messaging standards, SGX Prime will facilitate Straight-Through-Processing for market participants to increase automation and reduce operational risk.

Expanding custodial services

To expand the range of custodial services, SGX is working on the provision of collateral management services to consumer banks which are interested in leveraging on our processing capability for securitised lending.

The collateral management services will be ready in the first quarter of FY2008.

Our dual obligations

SGX is both a regulator under the Securities and Futures Act and a commercial entity. Quality regulatory standards and the management of potential Self-Regulatory Organisation (SRO) conflicts are integral to SGX's value proposition in operating its markets.

Public consultations

SGX's rulebooks form the backbone of our regulatory framework. Public feedback is an important part of the rule-making process and forms a critical SRO safeguard against SGX abusing its rule-making powers to serve solely commercial objectives. SGX regularly conducts public consultations on proposed rule changes relating to our listing, trading and clearing services. From July 2006 to June 2007, we conducted seven public consultations on significant amendments, including amendments to the Listing Rules, new rules to govern the new board, changes to the minimum bid size schedule, and enhanced error trade policies for the securities and derivatives markets.

Updated Futures Trading Rules

In September 2006, SGX introduced a revamped Futures Trading Rulebook to govern trading on SGX-DT. Major features include updated provisions to take into account SGX's complete migration from floor to screen trading, enhanced privileges to allow qualified customers to bypass pre-execution checks, and the introduction of physically deliverable futures contracts on the JADE market.

Oversight of corporate governance

On 29 May 2007, it was announced that oversight of corporate governance of listed companies would be transferred from the Council of Corporate Disclosure and Governance to the MAS and SGX, with effect from 1 September 2007. The move will clarify and streamline responsibilities for corporate governance matters for listed companies.

The Code of Corporate Governance will continue to be implemented through the SGX Listing Rules via the "comply or explain" approach. The Code, covering areas such as board matters, remuneration, accountability and audit, and communication with shareholders, will continue to complement SGX's Listing Rules which govern specific important governance matters such as related party transactions, periodic reporting and disclosure of material information.

As the frontline regulator of listed companies, SGX will continue to work closely with other stakeholders to improve effective governance of listed companies.

Our technological edge

FY2007 marked the first full year of the outsourcing of our data centre and IT infrastructure services to Hewlett-Packard Singapore (HP). The handover to HP in February 2006 was smooth, and SGX's various businesses continued to enjoy effective IT support.

Facilities upgrade

We crossed a milestone during the year when we teamed with HP to successfully upgrade our disaster recovery and production centres to world class 'Tier-4' data centre facilities. We will focus on consistently delivering highly reliable IT services to serve our customers even better.

Systems renewal

QUEST ST is scheduled to replace the existing CLOB trading system in July 2008. A number of securities trading members are also working with GL TRADE and SGX to modernise their trading front-ends, replacing the SESOPS terminals with a new order management system.

We will replace our derivatives data engine with a new system by the second half of FY2008. This would enable us to expand our data business.

Industry standards IT processes adoption

In order to ensure quality IT services and to minimise operational risks, we have embarked on an exercise to align our IT operational processes to an industry standard – ISO20000.

Business continuity

We continued to improve on our Business Continuity Planning (BCP) through awareness training, regular exercises, updating and refinement of continuity plans, and enhancing our response plans for a flu pandemic. SGX conducted a large-scale BCP exercise that included participation by trading firms from both the securities and derivatives markets in August 2006.

We also revalidated our ability to split the operation of our critical business functions between our back-up and primary facilities during the International Monetary Fund/ World Bank Group Annual Meetings held in Singapore in September 2006.

HUMAN RESOURCES

SGX had 556 employees comprising 480 executives and 76 non-executives as at 30 June 2007.

We introduced a comprehensive Talent Management (TM) framework during the year with clear definitions on talent quotient and assessment tools to focus on the following strategic human resource development areas, namely: talent acquisition and placement; succession planning and resource planning; business leadership development and retention; and domain leadership development.

Using our TM framework as a bedrock for human resource development, a new succession planning process was also designed and implemented for all senior management and unit head positions. A major intervention resulting from the framework was the formation of a Center of Excellence Council to focus on developing strategies for elevating our domain expertise benchstrength, and creating a new specialist career path structure.

SGX also played a lead role in organising the Asian Leadership Consortium. The focus of the programme was to offer like-minded companies the opportunity to train mid-level managers as well as provide a forum for inter-company dialogue and sharing in deliberating leadership challenges.

Retention was a challenge during the financial year. We realigned our compensation

and rewards strategy to ensure market competitiveness, including our long-term retention programme. Special emphasis was placed on staffing, namely the deployment of dedicated resources to reduce hiring cycle time and improve the quality of new hires. A new referral programme was introduced in June 2007 to encourage employee participation and tap internal resources towards fulfilling our hiring requirements.

Work-life balance featured prominently during the year. We organised a number of events to engage our employees, for example, a movie night for the whole company complemented the 'Eat With Your Family' day in May 2007, a Kids@Work Day in the office. We also built conducive new nursing rooms for mothers.

We improved our new employee assimilation with the redesign of our new employee induction process. In addition, we also initiated a revised approach which centred on action learning principles for our management associates and SGX scholars.

CORPORATE SOCIAL RESPONSIBILITY

SGX is firmly committed to building an organisation with a heart. Our staff, senior management included, volunteer their time and energies to community programmes and initiatives. Through our Corporate Social Responsibility (CSR) programme, we Care, Serve and Reach out to the communities in which we do business.

The Bull Run® 2006

The Bull Run®, Singapore's first-ever charity fun run in the central business district, was inaugurated by SGX in 2004. Every year it rallies thousands of people from the financial services industry and listed companies to help children and youths in need.

The Bull Run® 2006 attracted over 2,300 runners, raising a record \$2.9 million for beneficiaries under the care of 13 voluntary welfare organisations. Since its inception, the event has raised more than \$7 million for charity.

Overseas initiative

In FY2007, we embarked on our inaugural overseas CSR project. Working with the Gentle Fund Organisation, a non-profit organisation set up by the Vietnamese community in Singapore, SGX staff contributed their time and resources to help the Long Hoa Orphanage in Ho Chi Minh City, Vietnam.

A sum of \$58,896 was raised from staff and SGX. The funds went towards building a new library for the orphanage. Our staff volunteers painted wall murals, did general maintenance work and interacted with the 110 children at the orphanage.

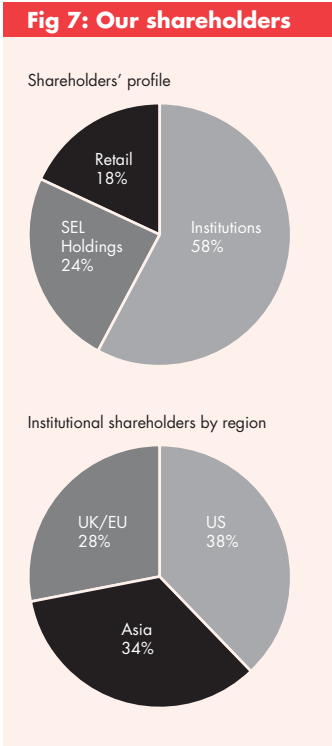
INVESTOR RELATIONS

SGX actively promotes investor relations (IR) in the broader marketplace. We endeavour to lead by example in managing relations with our own investors, and to participate in market development initiatives that position the SGX marketplace as a compelling investment destination. Every year our IR performance is measured by an independent

perception study in which our investment community assesses our performance. In the most recent survey by Carter Research Consulting, Global Market Barometer 2006, SGX again topped the IR ranking with a score of 4.17 on a scale of 1 to 5. This compared favourably with the peer mean score of 3.73 for other Singapore companies as well as against our peer exchanges.

SGX continues to participate in the main international investor fora and run local events, such as our annual IR Open Day for retail investors. In addition, we are increasingly involved in wider efforts to cater to the needs of other SGX-listed companies. For example, the IR team supports the induction programme for newly SGX-listed companies, to the extent of presenting an SGX IR case study to the directors of one foreign issuer shortly after their listing.

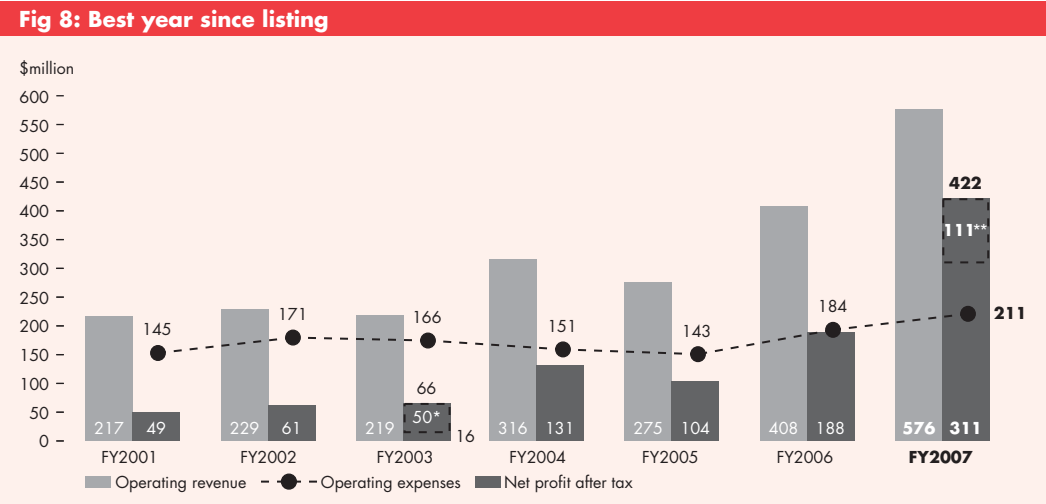
In FY2007, SGX spearheaded the establishment of the Investor Relations Professionals Association (Singapore) (IRPAS). Its objective is to promote IR best practices and raise the profile of IR among SGX-listed companies through a programme of events and educational initiatives. For example, IRPAS worked with Investor Relations Magazine to host the annual South East Asia IR Conference and Awards in Singapore for the second consecutive year. IRPAS is also collaborating with other partners to bring international IR content and case studies to our marketplace. To date, IRPAS has a membership of more than 130, comprising IR officers of listed companies and other IR professionals.



FINANCIAL REVIEW

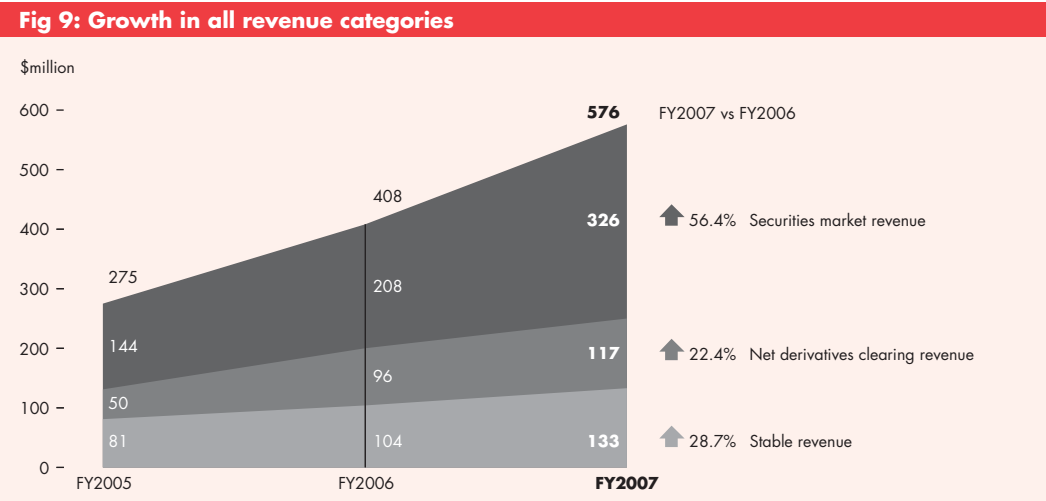
Record performance

SGX Group saw its best year ever in FY2007. Net profit scaled to a new height of \$421.8 million, more than double the previous year’s \$187.6 million earnings (Fig 8). Excluding the one-time gain from the disposal of SGX Centre and the write-back of its impairment allowance, net profit and return on equity hit all-time highs of \$311.3 million and 37.5% respectively.



* allowance for impairment on SGX Centre (\$45.0 million) and the building at 18 New Industrial Road (\$5.0 million)
** write-back of allowance for impairment (\$45.0 million) and gain on disposal of SGX Centre (\$65.5 million)

Operating revenue increased 41.4% to \$576.2 million in FY2007 with record revenue across all revenue categories, namely securities market revenue, net derivatives clearing revenue and stable revenue (Fig 9). This stellar performance was driven by overall optimism in a buoyant economy supported by benign interest rates and strong liquidity.



SECURITIES MARKET REVENUE

Securities market revenue achieved a 56.4% gain to \$326.0 million in FY2007 (FY2006: \$208.5 million) (Fig 10). Boosted by the strong rally in the securities market, daily average trading value grew 56.9% to \$1.60 billion as compared to \$1.02 billion in FY2006.

Fig 10: Securities market revenue

\$million	FY2005	FY2006	FY2007	FY2007 vs FY2006
Securities clearing fees	95.9	138.8	220.9	59.1%
Securities-related processing fees	24.3	33.0	47.9	45.3%
Access fees	23.5	36.7	57.2	56.0%
Total	143.7	208.5	326.0	56.4%
Securities daily average trading value (\$billion)	0.67	1.02	1.60	56.9%

NET DERIVATIVES CLEARING REVENUE

Supported by higher futures and structured warrants clearing revenues, net derivatives clearing revenue grew 22.4% to \$117.0 million in FY2007 (FY2006: \$95.6 million) (Fig 11).

Fig 11: Net derivatives clearing revenue

\$million	FY2005	FY2006	FY2007	FY2007 vs FY2006
Futures clearing revenue	44.9	84.6	102.0	20.6%
Structured warrants clearing revenue	4.7	11.0	15.0	36.3%
Total	49.6	95.6	117.0	22.4%

Futures clearing revenue in FY2007 gained another 20.6% on the back of a 88.5% growth in FY2006 upon the successful e-migration of our futures contracts. This was despite challenges in building our fixed income suite and the expiration of the Globex revenue sharing arrangement with CME in February 2007.

Our Asian Equity Derivatives contracts performed well with volumes for the Nikkei 225 and MSCI Taiwan futures contracts growing 7.9% and 14.4% respectively (Fig 12). Similarly, our MSCI Singapore futures contracts also registered strong growth, with volumes soaring 48.9% to 2.9 million contracts from last year’s 1.9 million contracts.

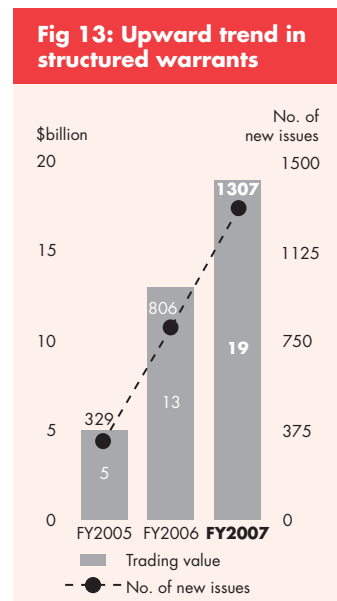


Fig 12: Futures clearing revenue and volume

	FY2005	FY2006	FY2007	FY2007 vs FY2006
Futures clearing revenue (\$million)	44.9	84.6	102.0	20.6%
Trading volume (million of contracts)				
Nikkei 225	8.6	16.9	18.2	7.9%
MSCI Taiwan	7.1	9.9	11.3	14.4%
MSCI Singapore	1.7	1.9	2.9	48.9%
Others	5.4	5.2	5.0	(4.0%)
Total	22.8	33.9	37.4	10.2%

The structured warrants market experienced high activity with a 62.2% hike in new issues. This, together with the buoyant securities market, contributed to a 49.3% growth in trading value (Fig 13). Consequently, our structured warrants clearing revenue gained 36.3% to reach \$15.0 million (FY2006: \$11.0 million).

STABLE REVENUE

Robust market activities and increased demand for our services provided the impetus for further growth in our stable revenue. Stable revenue grew 28.7% to \$133.2 million (FY2006: \$103.5 million), mainly driven by three key contributors: account maintenance and corporate action fees, listing fees, and price information fees (Fig 14).

Fig 14: Stable revenue

\$million	FY2005	FY2006	FY2007	FY2007 vs FY2006
Account maintenance and corporate action fees	19.0	22.3	35.3	57.8%
Listing fees	12.1	25.9	31.5	21.4%
Price information fees	15.8	19.1	23.0	20.2%
Terminal and connection fees	10.8	13.7	17.7	29.1%
Sale of software and other computer services	7.0	7.5	10.1	34.9%
Membership fees	10.3	7.1	7.0	(2.1%)
Other operating revenue	6.4	7.9	8.6	12.3%
Total stable revenue	81.4	103.5	133.2	28.7%

Account maintenance and corporate action fees rose 57.8% to \$35.3 million as a result of increased dividend processing and other corporate action activities.

The number of listed companies in our securities market grew from 691 to 722 in FY2007. Coupled with the cessation of transitional rebates granted, listing fees increased 21.4% to \$31.5 million.

We continued to expand our distribution channels for SecuritiesBook and derivatives datafeed, seeing more subscriptions in the process. This, together with the restructuring of our derivatives datafeed fee schedule in line with international standards, generated \$23.0 million in price information fees, up 20.2% from the previous year.

OPERATING EXPENSES

Operating expenses grew at a slower pace than operating revenue and amounted to \$211.1 million as compared with \$183.7 million last year (Fig 15). The increase was mainly due to higher variable costs, namely higher variable bonus provision on the back of better performance and the cost of processing and royalties which rose in tandem with market activity.

Fig 15: Operating expenses

\$million	FY2005	FY2006	FY2007	FY2007 vs FY2006
Staff costs (excluding variable bonus)	52.8	49.6	59.6	20.2%
Variable bonus	11.1	33.1	46.4	40.3%
System maintenance and rental	18.0	28.7	33.5	16.9%
Rental and maintenance of premises	16.0	12.2	6.1	(50.0%)
Depreciation and amortisation	15.2	14.3	16.3	14.5%
Cost of processing and royalties	11.2	14.2	19.2	35.1%
Other operating expenses	18.8	31.6	30.0	(5.5%)
Total operating expenses	143.1	183.7	211.1	14.9%

Operating expenses excluding variable costs, remained fairly well controlled. Two major contributors to non-variable operating expenses were staff costs and system maintenance and rental costs.

Staff costs (excluding variable bonus) rose 20.2% in FY2007. This was mainly contributed by the expenses arising from the new performance share plan and long-term incentive scheme which were designed to retain our talent pool.

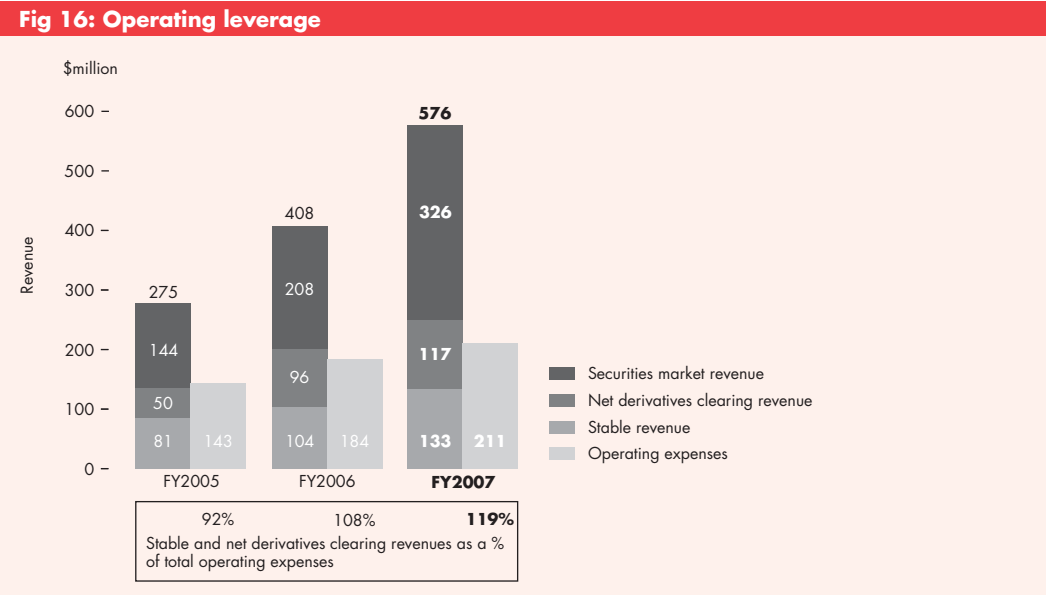
Technology remained an area of strategic focus, with resources invested to enhance technological capabilities. Our data centre outsourcing that began in February 2006 was the main contributor to the 16.9% increase in system maintenance and rental costs in FY2007.

OTHER GAINS

Other gains in FY2007 totalled \$127.7 million. This included a \$110.5 million gain with respect to the SGX Centre: \$45.0 million from the write-back of allowance for impairment and \$65.5 million from its disposal.

OPERATING LEVERAGE

Continued growth in net derivatives clearing and stable revenue together with prudent expense management resulted in improved operating leverage. In FY2007, net derivatives clearing and stable revenue covered 118.6% of our total expenditure, eclipsing the previous high of 108.4% in FY2006 (Fig 16). This was the second consecutive year the coverage crossed the 100% mark.



SHAREHOLDER RETURNS

Return on equity (excluding the write-back of allowance for impairment and gain on disposal of SGX Centre) reached an all-time high of 37.5% compared with 32.0% in the preceding year.

In view of our strong performance, the Board of Directors proposed a final dividend of 30.0 cents per share, bringing the total dividend for FY2007 to 36.0 cents per share (Fig 17). This represents a 90% payout of the current year’s profit and a dividend yield of 3.7%. Our dividend yield exceeded the average dividend yield of both our Mainboard listed companies (2.5%) and peer exchanges (2.6%).

Fig 17: Dividend

Net dividend per share (cents)	FY2005	FY2006	FY2007	FY2007 vs FY2006
Base	6.0	6.0	8.0	33.3%
Variable	2.5	10.2	28.0	174.5%
Special	15.0	–	–	–
Total	23.5	16.2	36.0	122.2%
Payout as a % of profits	81%	90%	90%	–

Arising from the assessment of the likely sustainable earnings of the Group, the board is pleased to raise the annual base dividend from 8.0 cents to 12.0 cents per share with effect from FY2008.

SGX shares closed at \$9.80 on 29 June 2007, a significant improvement from its previous close of \$3.52 a year ago. Total shareholder return (TSR) over the past one year was 184.2%, outperforming the STI TSR of 49.7%.

CASH FLOW

As at 30 June 2007, the Group had cash and cash equivalents of \$523.7 million, compared to \$156.0 million a year ago. The improvement was mainly due to our strong operating performance and the disposal of our interest in SGX Centre.

Net operating cash flow increased to \$354.6 million due to our higher operating profits (FY2006: \$227.2 million).

Our investing activities recorded a net inflow of \$204.1 million. Net proceeds of \$266.3 million were received from the disposal of our interest in SGX Centre and \$19.9 million from the partial redemption of our hedge fund portfolio. We also invested \$75.8 million for a 5% stake in the Bombay Stock Exchange.

There was a higher net outflow of \$191.1 million in our financing activities as compared to FY2006. A total of \$186.2 million was paid out in dividends to SGX shareholders. Under the Share Purchase mandate, 4.06 million shares, totalling \$18.6 million, were purchased for our Performance Share Plan. \$17.5 million was received from employees who exercised their share options under the SGX Share Option Plan in FY2007.

CAPITAL STRUCTURE AND MANAGEMENT

The Group has been 100% equity financed (zero debt) since listing in 2000. Shares purchased for our Performance Share Plan during the year were held as treasury shares. As at 30 June 2007, there were 10.3 million outstanding share options.

As part of our capital management, we disposed of our interest in SGX Centre to improve the efficiency of our balance sheet.

Our cash reserves were mainly deposited with major financial institutions. About \$139 million were invested in a diversified portfolio of externally managed funds. On 27 July 2007, SGX decided to liquidate these funds as these had reached the end of their three-year investment mandate.

CORPORATE INFORMATION

FINANCIAL RISK AND MANAGEMENT

Our primary foreign exchange exposure arises from our derivatives business and the externally managed funds. We hedge our foreign currency income where necessary and convert them to Singapore dollars regularly. Our foreign currency exposure with regard to our externally managed funds is fully hedged.

As at 30 June 2007, our contingent liabilities to banks amounted to US\$185 million. These unsecured standby letters of credit were issued to the Chicago Mercantile Exchange as margins for our derivatives business and were backed by margin deposits received from member companies.

We have put in place \$570 million of committed standby bank credit facilities for prudent risk management and emergency funding needs. The facilities comprised of \$370 million in unsecured credit lines and \$200 million in share financing lines.

The Group provides the following in support of the CDP and SGX-DC Clearing Funds: an unsecured standby credit line of \$75 million and cash resources of \$25 million to the CDP Clearing Fund in accordance with CDP’s Clearing Rules; a financial guarantee and cash resources totalling \$90 million to be utilised in accordance with SGX-DC’s Clearing Rules; and default insurance policies to support both the CDP and SGX-DC Clearing Funds.

To cater to the growing derivatives market, the Group is also augmenting the SGX-DC Clearing Fund through additional default insurance, guarantees and cash resources.

We continue to review our insurable risks to ensure optimal coverage. We have insurance policies to cover major business areas including Industrial All Risks, Computer Insurance, Professional Indemnity and Comprehensive Crime Insurance, as well as a cover on terrorism.

ACCOUNTING POLICIES

The Group’s financial statements have been prepared in accordance with the Singapore Financial Reporting Standards (FRS) issued by the Council on Corporate Disclosure and Governance. The same accounting policies and methods of computation as in the FY2006 audited financial statements have been applied for the current reporting period except for the adoption of new FRS and Interpretations to FRS (INT FRS) that are required for the current reporting period.

- FRS 19 (Amendment) – Employee Benefits
- FRS 21 (Amendment) – The Effects of Changes in Foreign Exchange Rates
- FRS 32 (Amendment) – Financial Instruments : Disclosure and Presentation
- FRS 39 (Amendment) – Financial Instruments : Recognition and Measurement
- INT FRS 104 – Determining whether an Arrangement contains a Lease

The adoption of the above FRS and INT FRS did not result in substantial changes to the financial statements for the year.

BOARD OF DIRECTORS

- Chairman**
J Y Pillay
- Chief Executive Officer**
Hsieh Fu Hua
- Lead Independent Director**
Low Check Kian
- Independent Directors**
Chew Choon Seng
Euleen Goh Yiu Kiang
Ho Tian Yee
Lee Hsien Yang
Loh Boon Chye
Olivia Lum Ooi Lin
Ng Kee Choe
Robert Owen
Tang Wee Loke*

COMPANY SECRETARY

Joyce Fong Foong Chao

AUDIT COMMITTEE

- Lee Hsien Yang** (Chairman)
- Ho Tian Yee***
- Loh Boon Chye
- Olivia Lum Ooi Lin
- Secretary: Lim Meng Wee

NOMINATING COMMITTEE

- Low Check Kian (Chairman)
- J Y Pillay
- Ho Tian Yee
- Loh Boon Chye
- Ng Kee Choe
- Secretary: Joyce Fong Foong Chao

REMUNERATION COMMITTEE

- Ng Kee Choe (Chairman)
- Chew Choon Seng
- Low Check Kian
- Olivia Lum Ooi Lin
- Secretary: Joyce Fong Foong Chao

RISK MANAGEMENT COMMITTEE

- Loh Boon Chye (Chairman)
- Euleen Goh Yiu Kiang
- Ho Tian Yee
- Ng Kee Choe
- Robert Owen
- Tang Wee Loke
- Secretary: Joyce Fong Foong Chao

CONFLICTS COMMITTEE

- Robert Owen (Chairman)
- Euleen Goh Yiu Kiang
- Low Check Kian
- Olivia Lum Ooi Lin
- Secretary: Joyce Fong Foong Chao

EXECUTIVE COMMITTEE

- Hsieh Fu Hua (Chairman)
- Chew Hong Gian
- Daniel Tan Bak Hiang
- Gan Seow Ann
- Muthukrishnan Ramaswami
- Seck Wai Kwong
- Yeo Lian Sim
- Secretary: Lee Chih-Wei

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- Tel : (65) 6236 8540
- Email : johngollifer@sgx.com

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- Fax : (65) 6535 6994
- Website: www.sgx.com

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- Singapore 049483
- Person-in-Charge: Chia Hui Dih

AUDITORS

- PricewaterhouseCoopers
- 8 Cross Street #17-00
- PWC Building
- Singapore 048424
- Partner-in-Charge: Chua Kim Chiu
- (appointed from 1 July 2004)

* stepping down on 28 September 2007
** appointed Chairman on 27 July 2007
*** stepped down as Chairman on 27 July 2007